

VALIDATION REPORT FOR THE LUANGWA COMMUNITY FOREST PROJECT

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Summary:

This report describes the validation audit of the Luangwa Community Forests Project (“the project”), a Reduced Emissions from Deforestation and Degradation (REDD) project located in Eastern and Lusaka Province, Zambia, that was conducted by SCS. The purpose of the validation audit was to assess the conformance of the project with the validation criteria. The validation audit was performed through a combination of document review, interviews with relevant personnel and on-site inspections. A total of 55 findings were raised during the validation. The project complies with all of the validation criteria, and the assessment team has no restrictions or uncertainties with respect to the compliance of the project with the validation criteria, therefore the audit team has validated the Project's compliance with the VCS Program requirements and the CCB Program requirements as set out in the VCS and the CCB Rules.

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1 INTRODUCTION

1.1 Objective

The purpose of the validation audit activity was to conduct an independent assessment of the Luangwa Community Forests Project (“the project”) to determine whether the project complies with the validation criteria, as set out in the guidance documents listed in Section 1.2 of this report.

1.1.1 Validation Objectives Under the Verified Carbon Standard

In accordance with Section 5.1.1 of the VCS Standard (see Section 1.2.2 below for full reference), SCS carried out an independent assessment of the project to determine whether the project complies with the VCS rules. In accordance with Section 2.1.2 of the VCS Validation & Verification Manual, V3.1, the objectives of the verification engagement were to evaluate the project description and assess the following:

- Project conformance to VCS rules;
- Project conformance to the applied methodology, including the procedure for the demonstration of additionality specified in the methodology; and
- Likelihood that methods and procedures set out in the project description will generate verifiable GHG data and information when implemented.

The other objective of the verification engagement was to assess the non-permanence risk analysis.

1.1.2 Validation Objective Under the Climate, Community & Biodiversity Standards

In accordance with Section 4.1 of the CCB Program Rules (see reference in Section 1.3 below), SCS carried out an independent assessment of the project to determine whether the project design complies with the CCB rules.

1.2 Scope and Criteria

1.2.1 Scope

In accordance with Section 4.3.4 of ISO 14064-3:2006, the scope was defined as follows:

- The project and, where relevant, its baseline scenarios
- The physical infrastructure, activities, technologies and processes of the project
- The GHG sources, sinks and/or reservoirs that are applicable to the project
- The types of GHGs that are applicable to the project
- The crediting period, as discussed in Section 3.2.11 of this report

1.2.2 Criteria Under the Verified Carbon Standard

In accordance with Section 5.3.1 of the VCS Standard (see below for full reference), the criteria for verification was the VCS Version 3, including the following documents:

- VCS Program Guide, V3.7
- VCS Standard, V3.7

- VCS AFOLU Requirements, V3.6
- VCS Non-Permanence Risk Tool (see Section 3.3.1 below for version reference)
- The VCS-approved methodology applied to the project, as identified in Section 3.3.1 below

1.2.3 Criteria Under the Climate, Community & Biodiversity Standards

In accordance with Section 1.1 of the CCB Program Rules (see below for full reference) the criteria for verification was established as follows:

- All CCB Version 3 program documents, including the following:
 - CCB Standards Third Edition (V3.0)
 - CCB Program Rules, V3.1
 - CCB Program Definitions, V3.0
 - CCB & VCS Project Description Template, CCB V3.0, VCS V3.3

1.3 Summary Description of the Project

From The project description (PD):

The Luangwa Community Forests Project is a large scale grouped REDD+ project implemented in Eastern and Lusaka Province, Zambia with an initial project area of 943,676 ha (Figure 1). At validation, the project is implemented on communal land in 12 chiefdoms falling within Game Management Areas (GMA) and two private ranches. Additional project instances may be added in the future. Implementation is in partnership with the traditional authorities and the government of the Republic of Zambia.

2 VALIDATION PROCESS

2.1 Audit Team Composition (*Rules 4.3.1*)

Criteria	Individual	Experience
Proficiency in a relevant local or regional language for the project location.	Boniface Mumba	Over 10 years' experience working with local communities in the management of natural resources
Relevant agriculture, forestry and/or other land use experience in the project country or region	Francis Eaton	Multiple Degrees in forest science and completion of 5 AFOLU projects in Zambia
Relevant social and cultural expertise.	Boniface Mumba	Over 10 years' experience working with local communities in the management of natural resources
Relevant ecological and biodiversity expertise.	Francis Eaton	Multiple Degrees in forest science and completion of 5 AFOLU projects in Zambia

2.2 Methods and Criteria

The validation was performed through a combination of document review and interviews with relevant personnel, as discussed in Sections 2.3 through 2.5 of this report. In addition, assessment of the project's carbon stock quantification process occurred both in the field and through independent quantification processes. At all times, the project description and non-permanence risk analysis were assessed for conformance to the criteria described in Section 1.2 of this report. As discussed in Section 2.6, findings were issued to ensure conformance to all requirements.

The audit team created a sampling plan following a proprietary sampling plan workbook developed by SCS. Per Section 4.4.3 of ISO 14064-3:2006, the audit team identified possible risks of errors, omissions and misrepresentations with respect to the verification criteria. For each identified risk, the audit team assessed the likelihood of the material discrepancy occurring, the likelihood of the material discrepancy not being prevented or detected by the controls of the project and the likelihood of the material discrepancy not being detected by the audit team. Sampling and data testing activities were planned to address any risk where the likelihood of a material discrepancy not being detected by the audit team was judged to be unacceptably high. The audit team then created a verification plan that took the sampling plan into account.

2.3 Document Review

The project description (Version 2 dated 15 July 2019) (PD) and supporting documentation were carefully reviewed for conformance to the validation criteria.

Particular attention was focused on the PD, given its central role in the description of “the project and its context” (VCS Standard, Section 3.19.1). Through review of the PD, the audit team ensured that:

- The project design, as described in the PD, is in conformance with the VCS rules and the requirements of the methodology
- The PD satisfies all applicable documentation requirements of the VCS rules and the methodology

In addition to the project description, the following written documents (e.g., reports, memos, land deeds and titles) were reviewed to ensure conformance of the project to the VCS rules and the methodology:

Document	File Name	Ref.
Community Management Agreements	Multiple Documents	/1/
Approval Document	2017.07.26_Authority to Carry Out A REDD+Project	/2/
Approval Document	20160808_DNPW REDD Auth	/3/
Support Letter	2014_LoS_MLNREP	/4/
Support Letter	2014_LoS_MOCTA	/5/
Support Letter	2014_LoS_ZAWA	/6/

Support Letter	Annex IV Letters of Commitment BCP[smallpdf.com]	/7/
Community SOP's	2018 BCP Grievance SOP Mechanism	/8/
Community SOP's	20180309 Grievance Register LZRPLCFP	/9/
Community SOP's	20180709 Beyond Subsistence Livelihoods Strategy	/10/
Community SOP's	20180808 FPIC SOP D6	/11/
Community SOP's	BCP FPIC SOP D5	/12/
Community SOP's	Social Monitoring SOP V4 Community Engagement Strategy 2013.03	/13/
Community Baseline	2015 IE CFP BR 31 March 2016	/14/
Gold Level Biodiversity	12436 Lycaon pictus	/15/
Biodiversity Monitoring	ZCP 2016 Annual Review - web	/16/
Agents and Drivers	20180814 Drivers Study Support Data	/17/
Agents and Drivers	20180319 BCP CFP Drivers study report final	/18/
Agents and Drivers	Kutsch_etal_Charcoal_Trap_Miombo_EnergyNeeds_CBalance_Management_2011	/19/
Management Capacity	Multiple CV's	/20/
Workers Rights	20160617 BCP GrievancePolicy	/21/
Workers Rights	20192506 BCP HR Manual 2019a V6.0 Final	/22/
FPIC	Multiple Documents	/23/
Reference Area	Zambia 2010 census descriptive tables	/24/
Reference Area	20190222 LCFP PA wards pop density	/25/
Reference Area	20190309 LCFP RA wards pop density	/26/
Reference Area	20190708 LCFP RA DSM	/27/
Reference Area	20190709 LCFP AA DSM	/28/
Reference Area	LCFP CDM Point Interpretation SOP	/29/
Biomass Protocol	20160426 BCP Biomass Sampling SOP V2	/30/
Biomass Protocol	BCP Biomass SpotError Protocol Jan 2014	/31/
Leakage Protocol	LZRP Annex M BCP Biomass Sampling LeakageMon 8June 2013	/32/
Leakage Protocol	LZRP Annex M BCP Biomass Sampling LeakageMon 8June Addendum2 013	/33/

Deforestation Model	20190708_CDM_image_interpretation	/34/
Deforestation Model	20190708_R-Model_Input_CDM_Points	/35/
Deforestation Model	LCFP CDM Point Interpretation SOP	/36/
Deforestation Model	LCFP_Annex_cdm_v2.0	/37/
Deforestation Model	logistic model summary_after_recode	/38/
Deforestation Model	Phased_logistic.curve_after_recode	/39/
Deforestation Model	proportion.deforestation_after_recode	/40/
Spatial Analysis	PALSAR_Analysis_Steps	/41/
Spatial Analysis	accuracy_unified_with_HV_post_review	/42/
Spatial Analysis	Multiple Python Files	/43/
Spatial Analysis	accuracy_unified_with_HV_post_review.shp	/44/
Background Documents	20180709_Beyond Subsistence Livelihoods Strategy	/45/
Background Documents	CIFOR2015_OP-141	/46/
Background Documents	CIFOR2013_OP-86	/47/
Background Documents	CIFOR2013_AGumbo1301	/48/
Background Documents	2018_BCP Org Chart Ver 001.2018	/49/
Background Documents	20161031_FY16_Annual Report_CFP	/50/
Background Documents	20171031_CFP_FY17 Annual report (1)	/51/
Background Documents	A1_20171016 Annex 1 CFP Quarter 4 Report_CT_D1 (4)	/52/
Background Documents	Annex 3_FY16_CFP ME_FINAL (2)	/53/
Background Documents	FY17_SS1_Cons Fees_D3	/54/
Background Documents	Conservation Outcomes - Advanced Tactical Training Syllabus 2	/55/
Background Documents	Conservation Outcomes - Field Ranger Selection Curriculum	/56/
Background Documents	CONSERVATION OUTCOMES CORPORATE PROFILE 2012	/57/
Background Documents	Conservation Outcomes Selection Recommendations	/58/
Background Documents	Legal Opinion - BioCarbon Partners - Redundancy and Funeral As	/59/
Background Documents	B Corporation - BioCarbon Partners Report 2017	/60/

Background Documents	B Corporation - BioCarbon Partners Report 2017(1)	/61/
Background Documents	B_Corp_Term_Sheet_for_your_DocuSign_Signature	/62/
Background Documents	BCorp_Declaration_General_2017_withBartSignature	/63/
Background Documents	BioCarbonPartners-MetricRequests	/64/
Background Documents	Lindsey et al 2014 Under-performance of African PA networks focus on Zambia	/65/
Background Documents	Lindsey et al GMA report FINAL	/66/
Financial Documents	20190626_CFP Finance_30	/67/
Financial Documents	2017 GL's (multiple documents)	/68/
Financial Documents	2018 GL's (multiple documents)	/69/

2.4 Interviews

The process used in interviewing project personnel was a process wherein the audit team elicited information from project personnel regarding (1) the work products provided to the audit team in support of the PD and NPRR, (2) actions undertaken to ensure conformance with various requirements and (3) implementation status of the project activity.

The following personnel associated with the project proponent and/or implementing partner were interviewed.

Individual	Affiliation	Role	Date(s) Interviewed
Darlington Chipita	BioCarbon Partners (BCP)	Conservation Manager	16-23 August 2018 April 8-13 2019
Elvin Muchimba	BCP	Forest management team leader	16-23 August 2018 April 8-13 2019
Nchimunya Simwendengwe	BCP	Forest management team leader	16-23 August 2018 April 8-13 2019
Theron Morgan-Brown	BCP	Senior Manager, Science & Technology	Throughout Audit
Joke Hoffman	BCP	Chief Operating Officer	Throughout Audit
Hassan Sachedina	BCP	Chief Executive Officer	Throughout Audit

Lucy Pieterse	BCP	Remote Sensing Expert	Throughout Audit
Camos Mukonka	BCP	Community Liaison	April 8-13 2019
Brighton Chama	BCP	Community Liaison	April 8-13 2019
Mundia Akende	BCP	Community Liaison	April 8-13 2019
Kelvin Sakala	BCP	Community Liaison	April 8-13 2019
Ministry of Lands	Republic of Zambia	Government	April 13 2019
Lawrence Msoni	BCP	Forest management team leader	16-23 August 2018 April 8-13 2019
Laison Chiyakamba	BCP	Forest management team leader	16-23 August 2018 April 8-13 2019
Felix Mbewe	BCP	Logistics Technician	16-23 August 2018
Peter Mbewe	BCP	Logistics Technician	16-23 August 2018
Rose Mwape	BCP	Junitor	16-23 August 2018 April 8-13 2019
Nelson Nyamundela	BCP	Caretaker	16-23 August 2018 April 8-13 2019
Rebecca Nampemba	BCP	C.Scout Radio Operator	16-23 August 2018
Emma Roberts	BCP	Director Operations	16-23 August 2018
Jospeh Simfukwe	BCP	Monitoring and Evaluation Manager	16-23 August 2018
Lackson Theo	BCP	Logistic Supervisor	16-23 August 2018 April 8-13 2019

In addition to the project proponents listed above the audit team also interviewed individuals and officials from all chiefdoms in the project zone. See below for a list of communities included.

Chifita, Kabandi, Mwankomesha, Munyenya, Muteneka, Malisau, Ndubula, Kantyatya, Shatunka, Chifeta Village, Kabundi, Musanshika, Mwachombela, Malilakuta, Kasumba, Shikata, Shimaluba, and Chikuse.

In addition community resource board members and/or headmen from all chiefdoms were interviewed during an all day meeting that was held in Mfuwe.

2.5 Site Inspections

The audit team performed an on-site inspection of the project area on the dates 16-23 August 2018. The main activities undertaken by the audit team were as follows:

- Interviews with project personnel to gather information regarding the project design;
- Interviews with members of the communities and other stakeholder groups to confirm the appropriate involvement of these groups;
- Interviews with government officials to confirm that the necessary approvals are in place;
- Review of records to ensure the appropriate design of the project; and
- Conduct of a visit to the project area to confirm the accuracy of the claims made in the PDD.

Due to a decision to change methodologies by the project proponent a second site visit was performed on 8-13 April 2019. The activities performed are the same as above.

2.6 Public Comments (*Rules 4.6*)

The PD was posted on the CCBA website for the CCBA public comment period from 29 July – 28 August 2018. Given the length of the validation process and the requirements of the CCB Rules, a second public comment period was issued on 29 July – 28 August 2019. No comments were provided for either of the public comment periods.

2.7 Resolution of Findings

Any potential or actual discrepancies identified with respect to the validation criteria were resolved through the issuance of findings. The types of findings issued by SCS were characterized as follows:

Non-Conformity Report (NCR): An NCR signified a material discrepancy with respect to a specific requirement. This type of finding could only be closed upon receipt by SCS of evidence indicating that the identified discrepancy had been corrected. Resolution of all open NCRs was a prerequisite for issuance of a verification statement.

New Information Request (NIR): An NIR signified a need for supplementary information in order to determine whether a material discrepancy existed with respect to a specific requirement. Receipt of an NIR did not necessarily indicate that the project was not in compliance with a specific requirement. However, resolution of all open NIRs was a prerequisite for issuance of a verification statement.

Opportunity for Improvement (OFI): An OFI indicated an area that should be monitored or ideally, improved upon. OFI's were considered to be an indication of something that could become a non-conformity if not given proper attention and were sometimes issued in the case that a non-material discrepancy was identified. OFIs were considered to be closed upon issuance.

All findings issued by the audit team during the validation process have been closed. All findings issued during the validation process, and the impetus for their closure, are described in Appendix A of this report. A total of 55 findings were issued.

2.7.1 Forward Action Requests

No Forward action requests were issued during the validation assessment.

3 VALIDATION FINDINGS

3.1 Summary of Project Benefits

Section 1.1 of the PD provides a list of unique project benefits including the following:

- Conserving a large part of the catchment of one of the longest undammed rivers in Southern Africa, the Luangwa
- Conserving Zambia's largest hippopotamus population
- Conserving a near continuous wildlife corridor between five national parks
- Benefiting over 100,000 local community members

The audit team reviewed the PD and confirmed that the document provides a details description of the rationale for the listed benefits. Through interviews with local communities and government officials, the audit team confirmed that community and other stakeholders were integral in the development of the benefit design. In addition, the audit team spent 10 days on site over two years and confirmed that the project is designed to implement the benefits listed in the PD. In summary, the audit team confirms that the summary provided is justified throughout the applicable sections of the PD and has included metrics for monitoring over the life of the project.

3.2 General

3.2.1 Summary Description of the Project (G1.2)

3.2.1.1 Technologies/measures to be implemented by the project and eligibility of the project.

The audit team has the following conclusions regarding the technologies and measures that constitute the project activities, as described in Section 2.1 of the PD:

Technologies/Measures	Conclusions
Direct conservation support	The audit team agrees that the monitoring systems in place are enough for accurately monitoring deforestation. In addition, the audit team witnessed the results of training programs already in place to build the local capacity as designed.
Engagement and capacity building	During the site visit, the audit team confirmed that systems are in place to educate and train local

	communities and government stakeholders as to mitigating deforestation. The audit team held interviews with both local community members and government officials who corroborated claims in the PD regarding engagement and capacity building.
Performance-based payments	The audit team reviewed the project benefit sharing design and confirmed that it is based on agreements between project personnel and communities, who hold the ownership rights and agree that the project is design appropriately to provide such benefits.
Promoting alternative livelihood activities	The audit team spent over a week on site, interviewing both project personnel and local communities and confirmed that several alternative livelihood activities are planned for implementation. The audit team confirmed that the activities were developed through community feedback and are those designed to support the main project benefits described above.
Eligibility	The audit team reviewed the PD and held interviews with communities and government officials during the site visit. The audit team confirmed that the project has the permission of the land owners and the government to implement the project and was also provided with documentation of such /1-7/. Further descriptions of how eligibility was confirmed is located in sections 3.2.15 and 3.3.2 of this report.

3.2.1.2 Project proponent and other entities involved in the project.

Section 2.1.3 and 2.1.4 of the PD provide an exhaustive list of project proponents and other entities involved in the project. Through a review of the project documentation /1-7/ and interviews with key individuals on site, the audit team was able to confirm that due diligence has been performed by the main project proponents (BioCarbon Partners) to include all pertinent individuals and entities involved in the project design. The audit team was able to confirm that all communities in the project zone are represented through community resource boards. Moreover, the audit team reviewed the community management agreements and confirmed that BioCarbon Partners has been bestowed the rights afforded to the project proponents.

3.2.1.3 Project Start Date

Section 2.1.14 of the PD provides a justification of the project start date as required. The audit team reviewed meeting minutes from planning meetings and held interviews with local communities who corroborated claims of when the project boundary demarcation began. The audit team agrees that the determination of the project area boundaries is sufficient for meeting the criteria of activities leading to the generation of GHG emission reductions.

3.2.1.4 Project scale and estimated GHG emission reductions or removals.

The audit team reviewed section 3.2.4 of the PD and recalculated the ex-ante emission reductions and confirmed that the project averages over 1 million tons annually and therefore is appropriately reported as a large project.

3.2.1.5 Project Location

The audit team reviewed section 1.1.1 of the PD and confirmed that it accurately describes the project location and provides the required maps and coordinates of the project area.

3.2.1.6 The scenario existing prior to the implementation of the project.

The audit team reviewed section 1.1.2 of the PD and confirmed that a detailed description of the scenario existing prior to the implementation of the project is provided. The audit team also reviewed the pertinent studies referenced in the PD /17-19/ and confirmed that the studies are based on the region comprising the project zone and are correctly described and reported. A more detailed description of the verification activities is in sections 3.2.16 and 3.3.4 of this report.

3.2.1.7 The project's climate, community and biodiversity objectives.

The audit team reviewed section 2.1.1 of the PD and confirmed it provides the project's major climate, community, and biodiversity objectives as required. The audit team has almost a decade of experience assessing such project objectives and confirms that this section of the PD, when combined with specific information in the respective CCB sections, provide an adequate understanding of the project objectives.

Overall, the information provided in the PD and associated annexes and appendices allows the audit team a reasonable level of assurance that the PD is accurate, complete, and provides an understanding of the nature of the project.

3.2.2 Physical Parameters (G1.3)

The audit team took the following steps to validate the summary description of basic physical parameters of the project.

Steps taken to validate the summary description of...		
Physical parameter	Details of documentation assessed	Observations made during site visit

Geology	Last accessed 28 July 2019	The audit team accessed Zambian geology data using a web based review https://www.unece.org/fileadmin/DAM/energy/se/pp/unfc/UNFC_iw_June_10_WarsawPI/14_Nyambe_Phiri.pdf and confirmed that the description provided in table 3 of the PD is an accurate description of the soils in the project area.
Topography	N/A	The audit team visited many areas of the project area and confirms the description provided in table 3 of the PD is an accurate description of the topography in the project area.
Soil	Last accessed 28 July 2019	The audit team accessed Zambian soils data using a web based review https://esdac.jrc.ec.europa.eu/images/Eudasm/Africa/images/maps/download/afr_zm2006_so.jpg and confirmed that the description provided in table 3 of the PD is an accurate description of the soils in the project area.
Elevation	N/A	The audit team visited many areas of the project area and confirms the description provided in table 3 of the PD is an accurate description of the elevation in the project area.
Hydrology	N/A	The audit team visited many areas of the project area and confirms the description provided in table 3 of the PD is an accurate description of the elevation in the project area.
Agro-ecological Zones	N/A	The audit team has a suite of experience working in the region and is well educated as to the Agro-ecological zones in the region and can confirm that the description provided in table 3 of the PD is a complete and accurate description.

3.2.3 Social Parameters (G1.3)

The audit team took the following steps to validate the summary description of social parameters of the project:

Steps taken to validate the summary description of...		
Social parameter	Details of documentation assessed	Observations made during site visit

Main Settlements and land use	/7/ /10/ /17/ /19/ /25-28/	The audit team reviewed the PD and cross-checked claims with the demographic literature and surveys provided. The results from interviews with local communities, government officials, and chiefdom headman as to the validity of the claims in the PD showed the claims in the PD to be accurate.
Socio-Economic and forest use information	/7/ /10/ /17/ /19/ /25-28/	Same as above
Education, family size, and gender	/7/ /10/ /17/ /19/ /25-28/	Same as above

3.2.4 Project Zone Map (G1.4-7, G1.13, CM1.2, B1.2)

The audit team took the following steps to validate the accuracy of the project zone map, as depicted in Section 2.1.7 of the PD.

Audit team confirmed that a 5-km boundary around the project accounting area is an appropriate means to delineate the project zone as follows:

Through distance measurements as well as interviews on the site visit, the audit team confirmed that application of a 5-km buffer is appropriate process to identify areas where activities described in section 2.1.11 of the PD will be located.

Through interviews with project personnel, audit team confirmed that the “project activities that directly affect land and associated resources, including activities such as those related to provision of alternative livelihoods and community development” (per footnote 16 of the CCB Standards) are to be implemented within the project zone as delineated

3.2.5 Stakeholder Identification (G1.5)

The audit team took the following steps to validate the process of stakeholder identification and analysis used to identify communities and community groups as described in table 1 of the PD.

While on site, the audit team held interviews with community members across the project zone and heard first-hand regarding the stakeholder identification and analysis workshops SBIA workshops.

The audit team interviewed government officials, including community liaisons for the project, as well as other members of the project team who were present for stakeholder identification and analysis workshops.

The audit team cross-checked a subset of SBIA workshop meeting notes and sign-in sheets to verify the information contained in the PD.

The audit team has performed CCB audits in the past and confirmed that the community characteristics information in the PD provide a sufficient baseline for which the project and future verifiers can assess conformance.

3.2.6 Stakeholder Descriptions (G1.6, G1.13)

The audit team took the following steps to assess that all communities, community groups and other stakeholders that are included in the project were correctly identified in the project description.

Audit team confirmed that a 5-km buffer around the project accounting area is sufficient to identify all groups of people “who derive income, livelihood or cultural values and other contributions to well-being from the Project Area at the start of the project and/or under the with-project scenario” per footnote 18 of the CCB Standards) through the following means:

- The audit team used distance measurements and on-site interviews to confirm.

Audit team confirmed that the process of identifying community groups was sufficient to identify all “sub-groups of Communities whose members derive similar income, livelihood and/or cultural values and other contributions to well-being from the Project Area and whose values are different from those of other groups” per footnote 19 of the CCB Standards through the following means:

- While on site, the audit team held interviews with dozens of community members across the project zone, in individual and group settings, with questions targeted towards understanding the process of identifying community groups and subgroups.

Audit team confirmed that the process of identifying other stakeholders was sufficient to identify “all groups other than Communities who can potentially affect or be affected by the project activities” per footnote 20 of the CCB Standards through the following means:

- While on site, the audit team held interviews with dozens of community members across the project zone, in individual and group settings, with questions targeted towards understanding the process of identifying other stakeholder groups.

3.2.7 Sectoral Scope and Project Type

3.2.7.1 Sectoral Scope and Project Type

The project falls within sectoral scope 14 and the following project category: Avoiding Unplanned Deforestation and/or Degradation (AUDD). The project activities fall under these designations because the objective of these activities is to reduce net GHG emissions by stopping deforestation that is not legally authorized, as discussed elsewhere in this report.

3.2.7.2 Technologies and Measures Implemented and Eligibility of the Project

See section 3.2.1.1 above

3.2.8 Project Activities and Theory of Change (G1.8)

The audit team took the following steps to validate the causal relationships or theory of change that link the project activities to the project's predicted climate, community and biodiversity benefits.

- The audit team confirmed that the project uses the theory of change methodology and that the text in the PD is well supported by a series of flow diagrams which allow for assessment by the auditor and the public.
- While on site, the audit team interviewed local community members who confirmed that the assumptions in the model were a result of the consultation process and are therefore clearly defensible.
- Furthermore, the focal issues used as indicators of change allowed the audit team to draw a clear comparison between the 'with project' and 'without project' scenarios. The PD includes a detailed breakdown of anticipated impacts by group and shows the result to be net positive for all groups, therefore meeting the requirements of this indicator.
- While on site, the audit team heard from the community officers and other members of the project team, regarding how the focal issues were identified with stakeholders and community groups, as well as used to inform the project's climate, community and biodiversity objectives.

In summary, the audit team concludes that the theory of change in the PD is accurate, complete, and provides an understanding of the nature of the project and how it will achieve its climate, community, and biodiversity objectives.

3.2.9 Sustainable Development

The audit team reviewed section 2.1.12 of the PD and cross checked the claims against the UNDP Sustainable development Goals, as described in the Zambia Vision 2030 and confirmed the goals as stated are 2017-2021 5 year development plan and confirmed that the project design is consistent with the national goals.

3.2.10 Implementation Schedule (G1.9)

The audit team reviewed section 2.1.13 of the PD and confirmed that the document provides a project implementation schedule as required. The audit team agrees that the implementation schedule is consistent with on the ground activities to date.

3.2.11 Benefits Assessment and Crediting Period (G1.9)

The project crediting period (of 30 years) is equal in length to the assessment periods for climate change adaptive capacity and resilience, biodiversity and community well-being resulting from project activities, which is appropriate. The 30-year project crediting period is in full compliance with the requirements of Section 3.8.1 of the VCS Standard, as it falls between the 20 year minimum and 100 maximum for AFOLU projects. The audit team confirmed that, per Section 3.3.1 of the AFOLU Requirements, the project has a credible and robust plan for managing and implementing the project over the project crediting period, as follows:

- The audit team reviewed the relevant sections of the PD and confirmed that the project's monitoring plans will enable measuring progress towards desired project activity outcomes and impacts from slated project activities and strategies.
- Through on-site interviews with community members, governmental officials, and other project personnel, the audit team confirmed that the community monitoring standard operating procedures (SOP's) /11-13/ have selected variables that are directly linked to the project's community development objectives and impacts, and that the community variables were produced as a result of the consultation process and are anticipated to be positive over the project crediting period.
- Through on-site interviews with governmental officials, including the project's Biodiversity Specialist, community members (including rangers), and other project personnel, as well as through observations regarding threats to biodiversity and forest cover made on-site, the audit team confirmed that the biodiversity monitoring SOP's /16/ is credible and robust and designed to generate stable or increasing levels of biodiversity and their associated indicators over the crediting period.
- Through on-site interviews and review of the project monitoring processes for climate variables and confirmed that the processes are credible and robust and designed to effectively monitor deforestation over the crediting period.

3.2.12 Risks to the Project (G1.10)

The audit team took the following steps to assess the accuracy of the likely natural and human-induced risks to the expected climate, community, and biodiversity benefits during the project lifetime identified by the project.

- Through on-site observations and interviews with project personnel, the audit team confirmed that the discussion of risks in Section 2.1.18 of the PD is comprehensive and also includes risk identified as part of the non-permanence risk analysis (see Section 3.3.10 below); furthermore, the identified risks are consistent with those risks identified by the audit team in respect of other REDD+ projects operating within the Republic of Zambia

The audit team concludes the following regarding the measures included in the project description to mitigate the risks in question.

- Through on-site observations and interviews with project personnel, the audit team confirmed that the mitigation measures are appropriate, in that they will directly target each potential risk to the extent appropriate (noting that few mitigation measures are available to target natural risk, and that the risk of significant natural disturbance is low to begin with).

3.2.13 Benefit Permanence (G1.11)

The audit team reviewed section 2.1.19 of the PD and confirmed that it provides an appropriate estimate of benefit permanence over the project crediting period. The audit team held interviews with local headmen and government officials who confirmed that they are working together with project personnel to build capacity with respect increasing the value of the project lands using the LCFP business model.

3.2.14 Financial Sustainability (G1.12)

The audit team concludes the following regarding financial mechanisms adopted to provide an adequate actual and projected flow of funds for project implementation and to achieve the project's climate, community and biodiversity benefits.

- Through review of the 30-year budget and workplan /67-69/, audit team confirmed the projected flow of funds is adequate to support implementation of the project activities, as follows:
 - Revenue assumptions (e.g., estimates of pricing and broker fees) are all reasonable and/or conservative
 - Administrative and operational cost projections are sourced directly from the official budget of the project proponent, and can be assumed to be correct
 - Breakeven analysis demonstrates that cumulative cash flow becomes positive in the fourth year of the project and remains positive thereafter

3.2.15 Grouped Projects

1) Eligibility Criteria for Grouped Projects (G1.14)

The audit team reviewed section 2.1.20 of the PD and confirmed that it provides a list of eligibility criteria for new project activity instances (PAA's). In reviewing the eligibility criteria, the audit team agree that the criteria are appropriate for ensuring the new PAA's will be managed the same as the initial instances and ensures expansion of the current activities. Finally, the audit team cross checked the eligibility criteria against the relevant requirements of section 3.4.9 of the VCS standard and G 1.14 of the CCB standards and confirmed conformance.

2) Scalability Limits for the Grouped Projects (G1.15)

The audit team reviewed section 2.1.21 of the PD and confirmed that it provides an appropriate discussion of scalability limits associated with the project. In addition, the audit team spent over a week on site and confirmed the geographical limitations imposed by international borders. Finally, the audit team reviewed the feasibility analysis provided for the project and agree that the social and economic limits are appropriate meet the requirements of G1.15 of the CCB Standards and section 3.4.8 of the VCS

Standard, including, as appropriate, capacity limits, economic and managerial constraints, and thresholds for project expansion.

3) Risk Mitigation Approach for Grouped Projects (G1.15)

The audit team held on-site interviews with local communities and government officials, who confirmed that the risk mitigation approach has indeed been implemented as described in the PD. The audit team agrees that the trainings described in the PD are sufficient for addressing potential risks associated with project expansion.

3.2.16 Land-Use Scenarios without the Project (G2.1)

The audit team concludes the following regarding the range of potential land-use scenarios and the associated drivers of land use changes most likely to occur within the project zone in the absence of the project.

The audit team agrees that all “realistic and credible land-use scenarios that would have occurred on the land within the proposed project boundary in the absence of the AFOLU project activity under the VCS” have been identified in Section 3.1.4 of the PD, per the “Tool for the Demonstration and Assessment of Additionality in VCS AFOLU Project Activities”

3.2.17 Most-Likely Scenario Justification (G2.1)

The audit team took the following steps to validate the most-likely land use scenario:

- Audit team undertook steps described in Section 3.2.1.6 above to confirm that the scenario of “Continuation of the pre-project land use” is one in which deforestation would continue to occur throughout the project zone
- Based on on-site observations, interviews with government officials and applicable of professional judgment, audit team concluded that there have been no significant changes in social, political or economic circumstances, relative to those existing in recent history, that would lead to a difference between the most likely land-use scenario within the Project Zone in the absence of the project and the scenario of continuation of the pre-project land use
- Therefore, audit team concluded that the most likely land-use scenario within the Project Zone in the absence of the project (i.e., the baseline scenario) is equal to the scenario of continuation of the pre-project land use”

In summary, since the most-likely land-use scenario in absence of the project is readily defensible on the basis of historic deforestation patterns and current land conversion pressures, the audit team concludes that the most-likely land-use scenario in absence of the project, as described in the PD, is justified.

3.2.18 Community and Biodiversity Additionality (G2.2)

The audit team took the following steps to validate the project's justification for the additionality of the project benefits.

Steps taken to assess...	
Existing laws, regulations, and governance arrangements, or lack of laws and arrangements that would likely affect land use in the absence of the project.	The audit team carried out interviews in the field to confirm that project benefits are additional to existing laws, regulations and governance arrangements. The audit team was able to confirm the additionality based on considerable prior experience working in the Zambia on REDD+ projects
Significant financial, technological, institutional or capacity barriers under the without-project scenario that would have inhibited project activities.	The audit team was provided with financial information for the entities participating in the project funding, along with the anticipated budgets for carrying out the project activities.
Any distinct climate, community and biodiversity benefits intended to be used as an offset and specify how additionality is established for each benefit intended for this purpose.	N/A

In summary, the audit team concludes that the justification for the additionality of the project activities, as provided in the PD, is appropriate and in conformance with requirements of the selected methodology.

3.2.19 Stakeholder Access to Project Documents (G3.1)

The audit team took the following steps to validate the project's stakeholder engagement plans and practices to fulfil the requirements of G3.1.

- The audit team carried out a detailed review of Section 3.2.19 of the PD which contains information regarding steps made to communicate and publicize the PD and other project documentation, the project validation process, and the CCB public comment period.
- The audit team visited 4 of the 12 chiefdoms, as well as project offices and sub-offices. In these locations (or a subset of them), audit team saw the project PD, as well as executive summaries of the PD, fliers and posters advertising and informing of the project (in english and local dialects).
- The audit team conducted interviews with community members and heard first-hand of stakeholder engagement practices.

In summary, given the outreach material available in most project communities, the audit team concludes that the project has made project documentation accessible to communities and other stakeholders.

3.2.20 Community Costs, Risks and Benefits (G3.2)

The audit team took the following steps to validate project proponent's plan/practices to explain the project's potential costs, risks and benefits to communities.

- While on site, the audit team held interviews with community members across the project zone and heard first-hand accounts regarding the project personnel's communication and engagement with the project communities regarding the project. During the interviews, the audit team confirmed that the potential costs, risks and benefits were discussed with communities.
- The audit team discussed the content of meetings and workshops held with the project's community officers as well as other project personnel involved in the meetings, and confirmed that potential costs, risks and benefits of the project were discussed.
- The audit team reviewed meeting notes, photographic evidence and sign in sheets confirming the level of outreach that was performed by the project; the audit team confirmed that potential project benefits and risks were discussed during meetings.

In summary:

- Given this information, the audit team concludes that the information was relevant to decision-making with respect to participation in the project and was sufficiently adequate to inform such a decision.
- In addition, the audit team concludes that the information was provided in a form that could be understood by the communities.
- The audit team concludes that the information was provided in a in a timely manner prior to any decision made to participate in the project.

3.2.21 Information to Stakeholders on Validation and Verification Process (G3.3)

The audit team took the following steps to validate the measures taken and communication methods used to inform communities and other stakeholders of the process for CCB validation.

While on site, the audit team held interviews with community members across the project zone and confirmed that communities had been apprised of the CCB validation process.

The audit team discussed the content of meetings and workshops held with the project's community liaisons and confirmed that the CCB validation process was discussed with community members in a variety of forums and settings.

The audit team reviewed meeting notes, photographic evidence and sign in sheets confirming the level of outreach performed by the project.

3.2.22 Site Visit Information and Opportunities to Communicate with Auditor (G3.3)

The audit team concludes the following regarding how communities and other stakeholders were informed of the auditor's site visit in a timely manner before the site visit occurred, and how direct and

independent communication between communities and other stakeholders or their representatives and the auditor were facilitated.

- While on site, the audit team held interviews with community members across the project zone in a variety of settings and forums and confirmed that communities had been apprised of the auditor's site visit in a timely manner. The villagers were aware that the meetings would be held with the auditor, and that direct and independent communication with the auditor team was encouraged.
- The audit team held both group and one-on-one meetings; in both settings, the audit team heard that most community members were aware of the upcoming auditor's visit and of ways to communicate with the team.
- The audit team reviewed meeting notes, photographic evidence and sign in sheets confirming the level of outreach performed by the project, including appraisal of the audit team's visit and the CCB validation process.

3.2.23 Stakeholder Consultations (G3.4)

The audit team took the following steps to validate the project's method(s) for conducting effective consultation to fulfil the requirements of G3.4.

- The audit team confirmed that the PD includes a detailed description of the stakeholder consultation process.
- While onsite, the audit team interviewed project personnel involved in community outreach (e.g. SBIA and FPIC meetings) who confirmed that the consultation process was implemented as described in the PD.
- Moreover, the audit team reviewed meeting minutes, photographic evidence and sign in sheets confirming the level of outreach that was performed by the project personnel.
- Finally, interviews with community chiefs or officials confirmed that the consultation process is ongoing with representatives from all participating communities being represented in order to learn from project successes and failures in order to ensure the project is being implemented using an adaptive management framework.

In summary, given the evidence collected, the audit team concludes that the project's method(s) for conducting effective stakeholder consultations, as described in the PD, fully satisfy the requirements of G3.4.

3.2.24 Stakeholder Consultation Channels (G3.5)

The audit team concludes the following regarding the stakeholder consultation channels used by the project proponent to fulfil G3.5, considering especially the project proponent's justification that adequate levels of information sharing occurred.

- While onsite, the audit team interviewed project personnel involved in community outreach (e.g. SBIA and FPIC meetings) who attested that the consultation process was undertaken directly with communities and other stakeholders, or their legitimate representatives.
- Moreover, the audit team reviewed meeting minutes, photographic evidence and sign in sheets confirming that outreach was conducted directly with community members.
- A large number of community meetings and workshops occurred during the project development process, as is documented in Section 2.3.7 of the PD and was confirmed onsite. The audit team concludes that adequate levels of information sharing occurred.

3.2.25 Stakeholder Participation in Decision-Making and Implementation (G3.6)

See section 3.2.24 above

3.2.26 Anti-Discrimination Assurance (G3.7)

The audit team concludes the following regarding the measures needed and designed to ensure that all entities involved in project design and implementation are not involved in, or complicit in, any form of discrimination or sexual harassment.

- The audit team confirmed that the PD contains detailed description of measures designed to ensure that all entities involved in project design and implementation are not involved in any form of discrimination or sexual harassment.
- While onsite, the audit team interviewed project personnel involved in community outreach (e.g. officers or SBIA and FPIC meetings) who attested that entities involved in project design were not involved or complicit in discrimination or sexual harassment.
- The audit team confirmed that the project established a grievance system that was written up in to a formal Grievance and Redress Mechanism document /21/.

3.2.27 Feedback and Grievance Redress Procedure (G3.8)

The audit team concludes the following regarding the project's feedback and grievance redress procedure.

- The audit team agrees that the project's formalized process is consistent with the intent of the CCB Standards

The audit team took the following steps to validate that the procedure meets the requirements of G3.8.

- The audit team reviewed the submitted formal Grievance and Redress Mechanism document /21/ and agreed that it outlines a procedure for receiving, hearing, responding to and attempting to resolve grievances within a reasonable time period.
- While on site, the audit team interviewed project partners, government officials, and members of local communities. It was confirmed that the grievance process described in the PD is consistent with their understanding.

- Whereas, the project is technically still in design phase, no grievances have been raised as of this point with respect to project design.

In summary, the audit team concludes that the feedback and grievance redress procedure described in the PD fully satisfies the requirements of G3.8.

3.2.28 Worker Training (G3.9)

Prior to the site visit and during the initial visit (also performed by SCS), the audit team reviewed the PD and cross checked the claims in the monitoring report against the requirements of the CCB standards. Once on site the audit team reviewed both employment and training records, as well as project hiring procedures. The results of the investigation showed that most of the project employees were hired from local communities and were trained for their respective positions.

After understanding Zambian labor laws, the audit team interviewed project employees as to the requirements of the standards regarding employment. In most all cases, employees recalled being made aware of their rights as workers and had both been made aware of the risks associated with their work and had been provided training and tools to mitigate those risks. In addition, the audit team witnessed a number of individuals performing project tasks and confirmed that practices were in place to minimize risk as much as possible. In addition, the audit team reviewed the BCP HR manual and confirmed it provides information regarding on job safety and workers rights.

3.2.29 Community Employment Opportunities (G3.10)

See section 3.2.28 above

3.2.30 Relevant Laws and Regulations Related to Worker's Rights (G3.11)

See section 3.2.28 above

3.2.31 Occupational Safety Assessment (G3.12)

See section 3.2.28 above

3.2.32 Project Governance Structures (G4.1)

The audit team concludes the following regarding the project's governance structures, and roles and responsibilities of all entities involved in project design and implementation.

- The audit team reviewed the PD and confirmed that it identifies the project's governance structure as well as roles and responsibilities of all who will be involved in the project development and implementation.
- The audit team held interviews with contact people from the project proponents the project partners (Republic of Zambia, Department of Forestry, and Provincial governments) and village headmen to confirm that the PD description of the governance structure is accurate.

3.2.33 Required Technical Skills (G4.2)

The audit team reviewed section 2.4.2 of the PD and confirmed that it provides a list of technical skills required to successfully implement the project. Moreover, the audit team has performed other assessments of REDD+ projects similar to this project and agree that the list is sufficient to meet the requirements and skillset requirements to implement the project.

3.2.34 Management Team Experience (G4.2)

The audit team reviewed section 2.4.3 of the PD and confirmed that it provides detailed discussion of the management team experience implementing the project. Moreover, the audit team has performed other assessments of REDD+ projects implemented by this team and confirm that the discussion is adequate based on the audit team's knowledge.

3.2.35 Project Management Partnerships/Team Development (G4.2)

The audit team reviewed section 2.4.3 of the PD and confirmed that it provides detailed discussion of the project partnerships. The information provided was corroborated through interviews with government officials during the site visit.

3.2.36 Financial Health of Implementing Organization(s) (G4.3)

See section 3.2.14 above.

3.2.37 Avoidance of Corruption and Other Unethical Behavior (G4.3)

The audit team took the following steps to validate the assurances provided that the project proponent and any of the other entities involved in project design and implementation are not involved in or are not complicit in any form of corruption.

- Regarding corruption, while the audit team cannot and will not make any assertions regarding the absence of corruption at any level within the entities involved in the project, the audit team took steps to validate that the project proponent and any other entities involved in project design and implementation are not involved in, or complicit in, any form of corruption.
- The audit team conducted on-site interviews with members of communities, community forests, with project proponent staff, project partner staff, and other implementing entity staff and inquired about corruption. The interviewees attested to no knowledge at the time of any entities involved in project design and implementation being involved or complicit in any form of corruption.
- The audit team interviewed the project personnel and heard attested that the donor entity involved in the project is committed to ensuring transparency of any donor funds disbursed by the project and has set forth means by which any and all donor funds are closely tracked.
- In addition, the project's Feedback and Grievance Mechanism /21/ (per Section 3.2.27) provides a clear protocol for bringing forth and addressing any concerns regarding issues including corruption that are made within the context of the project.

In summary, the audit team concludes that all necessary measures have been taken to adequately support assurances made in the PD that the project is not involved or complicit in any form of corruption.

3.2.38 Commercially Sensitive Information (Rules 3.5.13 – 3.5.14)

No information has been withheld from the PD as commercially sensitive information.

3.2.39 Statutory and Customary Property Rights (G5.1)

See section 3.2.4.1 below.

3.2.40 Recognition of Property Rights (G5.1)

See section 3.2.4.1 below.

3.2.41 Free, Prior and Informed Consent (G5.2)

The audit team took the following steps to validate that all property rights are recognized, respected, and supported.

- The audit team carefully reviewed the PD and confirmed that it contains detailed descriptions of statutory and customary rights as relates to land, territory and resources in the project.
- Customary rights are recognized within community forests, and the audit team interviewed community leaders and members to confirm access to community forest resources granted through customary rights.
- In addition, the audit team reviewed the community forests agreements, /1/ to confirm that customary rights are granted to communities within community forests.
- The audit team conducted interviews with community members across the project zone to confirm that customary and statutory rights were not infringed upon by the project.

In summary, given these actions, the audit team concludes that all property rights are recognized, respected and supported in the project design as described in the PD

3.2.42 Property Rights Protection (G5.3)

The audit team took the following steps to validate that that that project activities do not lead to involuntary removal or relocation of property rights holders from their lands or territories, and do not force rights holders to relocate activities important to their culture or livelihood.

- While on site, the audit team conducted interviewed with local communities and project personnel and confirmed that project activities do not lead to involuntary removal or relocation of property rights holders from their lands or territories.
- Furthermore, all of the land in the project is owned by the government or allocated to the local chiefdoms making this an area of low risk in the opinion of the audit team

- Similarly, interviews confirmed that project activities do not force rights holders to relocate activities important to their culture or livelihood.

3.2.43 Illegal Activity Identification (G5.4)

The audit team concludes the following regarding any illegal activities that could affect the project's impacts and the measures needed and designed to reduce these activities so that project benefits are not derived from illegal activities.

Audit team confirmed, through on-site observations and interviews, that illegal activities are accurately described in Section 2.5.5 of the PD

Audit team agrees that the measures stated in Section 2.5.5 of the PD should help to reduce such activities and that, in any case, there is no risk of project benefits being derived from illegal activities

3.2.44 Ongoing Disputes (G5.5)

Through onsite interviews and review of the community forest management agreements the audit team confirmed that no ongoing disputes over ownership or resource access use rights were occurring.

3.2.45 National and Local Laws (G5.6)

The audit team reviewed section 2.5.7 of the PD and cross checked the list provided against all applicable local and national laws and confirmed that the list is a wholistic description of the applicable regulations to the project. As this is the validation stage, no assessment of compliance to such laws is considered here.

3.2.46 Approvals (G5.7)

The audit team held interviews with local communities, headmen, and government officials while on site. The interviewees corroborated the claims in the PD regarding project approval. In addition, the audit team concluded through these interviews that the approvals and agreements have been documented and provided to the audit team /1-7/.

3.2.47 Project Ownership (G5.8)

The audit team held interviews with local communities, headmen, and government officials while on site. The interviewees corroborated the claims in the PD regarding project ownership. The audit team reviewed the Zambia Wildlife Act of 2015 and confirmed that the communities can transfer land-use rights to others through an approval from the Zambian government. Moreover, the audit team reviewed the community ownership agreements and confirmed that the ownership of the GHG rights have indeed been bestowed upon the project proponents. The agreements meet the requirements of item 5 of section 3.11.1 of the VCS standard as they represent "An enforceable and irrevocable agreement with the holder of the statutory, property or contractual right in the land, vegetation or conservation or management process that generates GHG emission reductions or removals which vests project ownership in the project." proponent.

3.2.48 Management of Double Counting Risk (G5.9)

The audit team concludes that the project is not currently participating, or seeking participation, in any form of social or environmental credit generation/trading program or mechanism other than validation under CCB Version 3; the justification for this conclusion is provided in detail in the sections below.

3.2.49 Emissions Trading Programs and Other Binding Limits

The audit team concludes that the project is not currently participating in any emission trading or other binding limit program or mechanism, as confirmed through interviews with government officials while on site.

3.2.50 Other Forms of Environmental Credit

The audit team concludes that the project has not sought or received another form of GHG-related environmental credit (other than validation under the CCB Version 3), as confirmed through a review of the PD.

3.2.51 Participation under Other GHG Programs

The audit team concludes that the project is not currently registered under or seeking registration under another GHG program, as few, if any, other GHG programs accept REDD+ projects.

3.2.52 Projects Rejected by Other GHG Programs

The audit team concludes that the project is not currently registered under or seeking registration under another GHG program, as few, if any, other GHG programs accept REDD+ projects.

3.2.53 Double Counting (G5.9)

The audit team concludes the following regarding the tradable climate, community and biodiversity benefits of the project and the procedures for avoidance of double-counting of such benefits, as described in the PD.

The audit team held interviews with government officials who corroborated claims that no national program exists in Zambia regarding tradeable credits. Zambia currently only has a carbon tax system on the transportation sector.

3.3 Climate

3.3.1 Title and Reference

VCS VM0009 V3.0 Methodology for Avoided Ecosystem Conversion

VCS VT0001 Tool for the Demonstration and Assessment of Additionality in VCS Agriculture, Forestry and Other Land Use (AFOLU) Project Activities, version 3.0.

3.3.2 Applicability

The project complies with each applicability condition of the methodology, as justified below.

The project complies with each applicability condition of the methodology, as justified below.

VM0009 v3.0	Methodology for Avoided Ecosystem Conversion
Condition	Steps taken to assess compliance
1)	Confirmation that the drivers and agents of conversion in the baseline scenario must be consistent with those described in section 6 of this methodology, and the end land use in the baseline scenario is non-forest - Through interviews with local residents of the project area, government officials, and observations on site, the audit team was able to confirm that the primary agents of deforestation are the agro-pastoralists and agriculturalists throughout the project area - The audit team performed fly-overs across the majority of the project area and confirmed that the end result of the agents and drivers of conversion is non-forest
2)	Confirmation that all project accounting areas must have been in an unconverted state (i.e., forest) for at least 10 years prior to the project start date, according to the following: Land in all forested project accounting areas has qualified as forest, on average, across the project accounting areas, as defined by FAO 2010 or by the residing designated national authority (DNA) for the project country for a minimum of 10 years prior to the project start date. The audit team observed the process for ascertaining land cover types using the project Land-Sat imagery /44/ and confirmed the accurate categorization of land cover types and that the area categorized as forest had been so for at least ten years. In addition, the audit team reviewed the original plot data sheets on site and confirmed the canopy cover data to be accurate through observing plot re-measurements. Finally, the audit team performed a re-calculation of percent canopy cover for the project area and confirmed that the canopy cover more than meets the 0.5 hectare requirement
3)	For project accounting areas with an unplanned baseline type, a conversion threat must exist for each project accounting area as demonstrated by one of the following two options: - As of the project start date, some point within 2 kilometers of the perimeter of the project accounting area has been converted to the end land use identified in the baseline scenario - The audit team reviewed the historical Land-Sat imagery /44/ used by the project to delineate the project area and confirmed that as of 2015 there existed many instances in which land conversion had occurred within 2 kilometers of the boundaries of the project areas. In addition, while on-site the audit team performed aerial flyovers in which the threat

	of land conversion was confirmed within 2 kilometers of a majority of the project area boundary
7)	The project accounting area(s) must not contain peat soil The audit team performed on-site observations and confirmed the absence of peat soils in the project area
8)	For each project accounting area, a reference area can be delineated for each baseline type in the baseline scenario that meets the requirements, including the minimum size requirement of Section 6.8.1 of the methodology The audit team reviewed the process for delineating the reference area and the project area and confirmed that the baseline type (FU3) meet the requirements of Section 6.8.1 of the methodology. This process is further described further in Section 3.2.4 below
9)	As of the project start date, historic imagery of the reference area(s) exists with sufficient coverage to meet the requirements of Section 6.8.4 of the methodology The audit team reviewed the historical imagery provided by project personnel and confirmed that sufficient coverage exists to meet the requirements of Section 6.8.4 of the methodology. In addition, the audit team cross-checked the project imagery against the same imagery using USGS Global Visualization Viewer (http://glovis.usgs.gov/) to ensure the data were both accurate and unchanged. This process is further described in Section 3.2.4 below
10)	Project activities are planned or implemented to mitigate ecosystem conversion by addressing the agents and drivers of conversion as described in Section 8.3.1 of the methodology See Section 3.1.10.2 of this report
11)	The project proponent has access to the activity-shifting leakage area(s) and proxy area(s) to implement monitoring (see Sections 8.3.2.1 and 6.4 of the methodology), or has access to monitoring data from these areas for every monitoring event The audit team met with local residents adjacent to the project area and government officials and confirmed that project personnel have access to the activity-shifting leakage area(s) and proxy area(s) to implement monitoring. This should be assessed at each verification event
13)	This methodology is applicable to all geographies. However, if SOC is a selected carbon pool and the default value from Section 6.19.2 of the methodology is selected, then the project must be located in a tropical ecosystem The audit team visited the project area and confirmed that the project area is located in the miombo region of Zambia
14)	If livestock are being grazed within the project area in the project scenario, there must be no manure management taking place, as emissions from N₂O as a result of manure management are not quantified or addressed in this methodology While on site the audit team witnessed cattle grazing, during ground-based and airborne inspections, confirmed that cattle are open-grazed and that manure management is

	highly improbable. The audit team had the luxury of performing a number of low level flights across the majority of the project areas and in each instance observed cattle being open grazed across the landscape
VT0001 v3.0	Tool for the Demonstration and Assessment of Additionality in VCS AFOLU Project Activities
1)	AFOLU activities the same or similar to the proposed project activity on the land within the proposed project boundary performed with or without being registered as the VCS AFOLU project shall not lead to violation of any applicable law even if the law is not enforced The audit team met with members of the Zambian government who confirmed that no activities, the same or similar to the proposed project activity, that exist within the project area are in violation of any applicable law. In addition, the audit team reviewed the suite of laws applicable to the project area and were unable to find any existence of laws that prohibit such activities
	The use of this tool to determine additionality requires the baseline methodology to provide for a stepwise approach justifying the determination of the most plausible baseline scenario. Project proponent(s) proposing new baseline methodologies shall ensure consistency between the determination of a baseline scenario and the determination of additionality of a project activity The audit team reviewed the VM0009 v3.0 methodology and confirmed that it provides a stepwise approach justifying the determination of the most plausible baseline scenario

In summary, the audit team concludes that project complies with all of the applicability conditions for both the VM0009 v3.0 methodology and the VT0001 v3.0 additionality tool.

3.3.3 Project Boundary

3.3.3.1 Spatial Boundaries

Through a combination of document review, remote sensing, and ground truthing the audit team confirmed that the spatial boundaries of the project area conform to Sections 5.1 and 6.2 of the methodology. The audit team reviewed the PDD and confirmed that it includes maps including all of the geographic and physical boundaries required by the methodology.

While on site, the audit team held interviews with representatives from all of the landowners included within the project area and confirmed that the claims in the PD regarding the details of ownership, including user rights and/or land tenure information were accurately described. Moreover, the audit team confirmed that the information gleaned from such interviews was consistent with the ownership documentation described in Section 3.1.9.1 above.

Finally, the audit team performed field validation activities, included re-measurement of carbon plots and ground truthing strata and project area boundaries and confirmed that the geographic and physical boundaries depicted in the PD maps is generally accurate.

In summary the audit team agrees that the project is in conformance with both the VCS rules and the requirements of the methodology regarding the project boundary.

3.3.3.2 Temporal Boundaries

The audit team confirmed that the project complies with all of the requirements of the methodology regarding temporal boundaries, See Section 3.1 above for a complete description of how the project meets these requirements.

3.3.3.3 Gases

Gas	Source	Inclusion	Step(s) to assess Conformance
CO ₂	Flux in carbon pools	Yes	Check against table 2 of the methodology to ensure conformance
CH ₄	Burning of biomass	No	Conservatively excluded as is allowed by table 2 of the methodology
CH ₄	Livestock	No	Conservatively excluded as livestock in the project scenario is expected to be less than the baseline scenario
N ₂ O	Burning of biomass	No	Conservatively excluded as is allowed by table 2 of the methodology
N ₂ O	Livestock	No	Conservatively excluded as is allowed by table 2 of the methodology
N ₂ O	Synthetic fertilizer	No	Conservatively excluded; The audit team visited multiple communities within the project area who confirmed that the estimate fertilizer use should be less in the project scenario than the baseline scenario

3.3.4 Baseline Scenario

The audit team reviewed the justification in the PD and confirmed that the justification was consistent with what was observed during the site visit. The audit team interviewed local residents in and around the project area who corroborated the claims that the current land use and the most plausible scenario in the absence of the project is and will be the conversion of land to subsistence agriculture. The audit team further confirmed this land use scenario through observations during aerial flyovers of the project and surrounding areas. In addition, the audit team observed the process for detecting land cover change through time using remote sensing imagery /44/ and confirmed a consistent trend of the conversion of forest land to agricultural crops and eventually to abandonment. The audit team independently downloaded Land-Sat imagery in order to cross-check the remote sensing imagery used to determine baseline rates of conversion and confirmed the imagery to be both accurate and sufficient to perform the baseline evaluation.

Through interviews with government officials and review of Zambian land use law, the audit team confirmed that Section 1.1.2 of the PD provide an exhaustive list of policies and circumstances explaining the drivers and causes that ultimately lead to such a scenario. Finally, through observations on site and interviews with local residents in and around the project area the audit team confirmed that the agents of conversion complicit in the resulting baseline scenario are consistent with the claims in the PD.

In conclusion, the audit team confirmed that the baseline scenario as stated in the PD is justified.

3.3.5 Additionality

Overall, additionality is justified for the project. In accordance with the methodology, and as well-documented within Section 1.1.3 of the PD, Version 3.0 (the most recent version) of the VCS-approved “Tool for the Demonstration and Assessment of Additionality in VCS AFOLU Project Activities” has been used to demonstrate additionality. The audit team’s findings regarding the application of this tool are as follows.

3.3.5.1 Step 1. Identification of alternative land use scenarios to the proposed VCS AFOLU project activity

3.3.5.1.1 Sub-Step 1a

The identified land use scenarios identified in sub-Step 1a of the PD include those scenarios required by VT0001. The audit team’s findings regarding the identified scenarios are as follows:

Scenario	Audit Findings
i	As the continuation of the pre-project land use is required by the VT0001 Tool, the audit team deems this alternative land-use scenario as credible
ii	Through interviews with local community members and observations on site, the audit team was able to confirm that the rationale provided in the Additionality section is accurate; The audit team witnessed conservation-based activities that have clearly been in place prior to the development of the AFOLU project

3.3.5.1.2 Sub-step 1b

The audit team reviewed the information provided in Sub-step 1b of Section 1.1.3 of the PD and confirmed that it provides a detailed description of the credibility of the baseline land-use scenarios with respect to enforced mandatory applicable laws in regulation. While, the audit team agrees it is nearly impossible to have complete assurance that all of the conversion in the region is illegal, interviews with local government officials provided the audit team with the understanding that conversion by agents other than the legal occupants of the land and conversion within the game management areas is indeed illegal. It is the understanding of the audit team that the conversion activities would require a permit if occurring on such lands). Moreover, these same officials expressed their inability to enforce the prohibition of such conversion.

The VT0001 additionality tool requires the following: “If an alternative does not comply with all mandatory applicable legislation and regulations then show that, based on an examination of current practice in the region in which the mandatory law or regulation applies, those applicable mandatory legal or regulatory requirements are systematically not enforced and that non-compliance with those requirements is widespread, i.e., prevalent on at least 30% of the area of the smallest administrative unit that encompasses the project area.” The audit team reviewed the analysis provided by project personnel /66/ and confirmed the resulting calculations were both accurate and free from error.

3.3.5.1.3 Sub-step 1c

The audit team reviewed the PD and confirmed that it provides the stepwise approach for selecting the most plausible baseline scenario as prescribed by the methodology. Through observations on site and interviews with government officials and local residents the audit team confirmed that the continuation of the pre-project conversion activities is the most likely to occur in the absence of the project. In addition, the audit team performed flyovers of the project area and surrounding region and observed strong visual evidence that the conversion activities described in this scenario were indeed prevalent. In addition, the audit team checked the evidence provided in Figure 19 of the PD against high resolution Google Earth imagery, further confirming the widespread practice of agricultural conversion and, therefore, the appropriate selection of the pre-project land-use scenario as most plausible.

3.3.5.2 Step 2. Investment analysis

3.3.5.2.1 Sub-step 2a

The audit team met with representatives of the project proponent and project partners and reviewed the list of project activities as designed in the PD and agree that the activities are not designed to result in income generation other than that of the VCS related income. The activities as designed are to provide alternative livelihoods, job creation, food security, and education none of which is expected to generate revenue. The audit team agrees that a simple cost analysis is appropriate.

3.3.5.2.2 Sub-step 2b. - Option I. Apply simple cost analysis

The audit team was provided with the budget of each participating organizations, including estimates of future costs and revenues associated with the project. Whereas, the project is technically in design phase, the audit team was able to compare the expected costs and revenues against the previous year's audited financial statements and confirm with a reasonable level of assurance that the overall project budget is appropriate.

3.3.5.3 Step 3 – Barrier analysis

As the project satisfied the requirements of the simple cost analysis, no barrier analysis is required.

3.3.5.4 Step 4 – Common practice analysis

While on site, the audit team was made aware of similar activities taking place within the project area. It is hard to assess at this stage whether or not the similar activities are of similar scale as the AFOLU project activities have yet to be implemented, however, in design the project personnel report that the intention is to increase and expand the activities to affect a larger audience over a larger geographical range. Given this inability to assess the scale of the similar activities, the audit requested that project personnel perform the requirements of Section 2.4.3 of the VT0001 additionality tool.

While on site, the audit team was presented with a comparative analysis between which activities were currently in place and what the expectations were for the expansion of such activities and the addition of new project activities. The audit team were able to confirm that the, given the expected costs, such endeavors would not be possible under current grant and government funding mechanisms, which leads to a fundamental and verifiable change in circumstances under which the proposed VCS AFOLU project

activity will be implemented when compared to circumstances under which similar activities were carried out. Finally, the audit team was able to confirm the fundamental similarities between the different portions of the project area and therefore agree that the geographic region in which the analysis was performed is appropriate.

In summary, it is the opinion of the audit team that as long as the project is implemented as designed, the justification and the supporting evidence provided are sufficient to show that the additionality of the project is justified.

3.3.6 Methodology Deviations

The audit team reviewed the PD and confirmed that 3 deviations were listed at the time of validation.

The first deviation effects the demonstration of forest age. Specifically, the methodology requires that “The project description must include the following:

PDR.22 A digital (GIS-based) map of the project accounting areas, including aerial or satellite imagery showing that they are comprised of forest or native grassland as of the project start date and 10 years prior to the project start date”

The audit team reviewed the rationale provided in section 1.1.4 of the PD and agree with the assertion. The audit team has experience working with remote sensing in the miombo region and agrees that cloud free imagery is not always available for the time of year in which all trees are in leaf-out. Furthermore, the audit team understands that both the reference region and project area are comprised of mature forests, so there is no risk that the lands would not meet the forest age requirements. Finally, the audit team agrees that use of the PULSAR imagery is more than likely to provide a more accurate estimate of forest cover and deforestation. The audit team agrees that the deviation is allowable as it conforms to the VCS rules regarding methodology deviations.

The second deviation effects application of allometry for trees that fall outside of the maximum diameter for which the allometry was derived. The audit team reviewed the required analysis provided /30/ and confirmed that the rationale provided in the PD is accurate. Moreover, the audit team agrees that using the more conservative allometry for trees greater than 63 cm and trees greater than 110 cm is more than likely to result in a more conservative estimate of biomass. The audit team agrees that the deviation is allowable as it conforms to the VCS rules regarding methodology deviations.

The final deviation effects the monitoring of leakage in the leakage area. The audit team agrees that addition of the georeferenced step in the data collection is more than likely to result in a more accurate estimate of leakage caused by the project. The audit team agrees that the deviation is allowable as it conforms to the VCS rules regarding methodology deviations.

In summary, the audit team agrees that the deviations to the methodology are appropriate and are conformance with Section 3.5.1 of the VCS Standard. A complete description of the methodology deviations is in section 1.1.4 of the PD.

3.3.7 Quantification of GHG Emission Reductions and Removals

The GHG Emission Reductions or Removals have been quantified correctly in accordance with the project description and the applied methodology.

The evidence used to determine the ex-ante GHG reductions and removals was of sufficient quantity and appropriate quality. In addition, the audit team was able to confirm the following:

- All relevant assumptions and data are listed in the project description, including their references and sources
- All data and parameter values used in the project description are considered reasonable in the context of the project.
- All estimates of the baseline emissions can be replicated using the data and parameter values provided in the project description.

An identification of the categories of evidence used to determine the GHG Emission Reductions or Removals, and a description of the steps taken to assess the sufficiency of quantity, and appropriateness of quality, of each category of evidence, follows:

Category	Steps taken by audit team to assess...		
	reliability, source, nature of evidence	information flow from data generation and aggregation, to recording, calculation and final transposition into the monitoring report	appropriateness of implemented calibration frequency of monitoring equipment
Reporting workbooks	Workbooks originated from Project Personnel and were determined, after thorough testing, to be of high quality and highly reliable; quantity of workbooks provided to audit team was sufficient	In all cases, audit team traced data contained in the PD from the emission reduction workbooks back to their respective sources, which were: /34-44/	N/A
Field Protocols	The field protocols were reviewed by the audit team, who confirmed that they were designed using best practices and are capable of capturing changes in carbon stock in conformance with the methodology	The audit team reviewed the field protocols and confirmed that the QA/QC procedures provide checks and balances to ensure high quality data collection /30-32/	N/A
GIS Data	All demographic data was provided to the audit team, who confirmed that the data contained all the necessary information	The audit team re-calculated the total project area, as well as the area of each land class in the project area. In addition, the	N/A

	to recreate the processes employed by the project and found the calculations consistent with values stated in the project description, and applied calculations.	audit team collected GPS data at each plot point visited in order to ensure consistency with reporting in the PD	
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In summary, it is the opinion of the audit team that sufficient and appropriate quality of evidence exist to determine the GHG emission reductions or removals.

3.3.8 Monitoring Plan

For all instances in which values were transcribed between datasets (e.g., transcription from the project description to reporting workbooks, or between reporting workbooks), the audit team carefully traced values to ensure the absence of manual transposition errors.

An identification of the data and parameters used to calculate the GHG Emission Reductions or Removals and a description of the steps taken to assess each of them, follows:

	Steps taken by audit team to assess...		
Data/Parameter	accuracy of GHG Emission Reductions or Removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
$C_B^{[m]}$ $C_B^{[m]} BGB$ $C_P^{[m]}$ $C_P^{[m-1]}$ $C_P^{[m=0]}$ $C_P^{[m]} 1 BM$ $C_P^{[m]} b$	As described in the implementation section of this report, the audit team performed an independent re-measurement of 11 randomly selected biomass plots and one randomly selected leakage plot. In addition, the audit team recalculated the plot level carbon for each aboveground biomass plot in the project area.	The audit team reviewed and re-calculated these parameters using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	The default value for the below ground biomass was applied appropriately as defined by the methodology
$C_B^{[m]} BM$	Given the issue with the overestimation of aboveground biomass using the original sampling protocol, the audit team used the methods described above to ensure that the	The audit team reviewed and re-calculated this parameter using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	The default value for the below ground biomass was applied appropriately as defined by the methodology

	Steps taken by audit team to assess...		
Data/Parameter	accuracy of GHG Emission Reductions or Removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
	carbon stocks were calculated correctly		
$E_{\Delta GER}^{[i]}$	The audit team re-calculated the GER values based on the updated carbon stock values in order to assess the accuracy of the project calculations	The audit team reviewed and re-calculated this parameter using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$E_{\Delta NER}^{[i]}$	The audit team re-calculated the NER values based on the updated carbon stock values in order to assess the accuracy of the project calculations	The audit team reviewed and re-calculated this parameter using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$E_B^{[m]}$ $E_B^{[m-1]}$ $E_{B \Delta}^{[m]}$	The audit team re-calculated the cumulative baseline emission values based on the updated carbon stock values in order to assess the accuracy of the project calculations	The audit team reviewed and re-calculated this parameter using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$E_{B \Delta BGB}^{[i]}$	The audit team reviewed the calculations for the change in below ground biomass and found that they were calculated accurately	The audit team reviewed the implementation of the project calculations and cross-checked them against the project description and confirmed that the parameters were calculated using the methods and formulae set out in the project description and the methodology	N/A

	Steps taken by audit team to assess...		
Data/Parameter	accuracy of GHG Emission Reductions or Removals	whether methods/formulae set out in project description have been followed	appropriateness of default values
$E_{B\ BGB}^{[m-1]}$	The audit team recalculated the cumulative baseline emissions from below-ground biomass	The audit team reviewed and re-calculated this parameter using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$E_{B\ BM}^{[m]}$	The audit team recalculated the cumulative baseline emissions from biomass	The audit team reviewed and re-calculated this parameter using the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$E_L^{[m]}$ $E_L^{[m-1]}$ $E_{L\ \Delta}^{[m]}$ $E_{L\ AS}^{[m]}$ $p_{L\ DEG}^{[m]}$	The audit team traced the flow of data from the raw field data throughout the process in order to assess the accuracy regarding this parameter	The audit team reviewed and traced the calculation of this parameter and determined that the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$U_B^{[m]}$ $U_P^{[m]}$ $E_U^{[m]}$	The audit team re-calculated the uncertainty in order to assess the accuracy regarding this parameter	The audit team recalculated this parameter and determined that the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A
$A_{P\ 1}^{[m=0]}$ $A_{P\ 2}^{[m=0]}$	The audit team recalculated the project area using the project provided shapefiles. In addition, the audit team performed spot checking activities on site and confirmed the project area for each stratum to be accurate.	The audit team recalculated this parameter and determined that the methods and formulae set out in the project description and the methodology and confirmed that they were being followed	N/A

In summary, the audit team reviewed the QA/QC procedures for data management and determined that they were being followed. Overall, the workbooks have been designed in a way that limits user error, as most of the calculations are hard wired into VBA code. In addition, data is cell referenced as it is moved from tab to tab of the workbook, further limiting errors. The audit team has a reasonable level of assurance that the GHG emission reductions and removals have been quantified correctly in accordance with the project description and applied methodology.

3.3.9 Dissemination of Monitoring Plan and Results (CL4.2)

Through interviews with the relevant project personnel, the audit team confirmed that the climate monitoring plan will be made available for public review in the Project Office and on the internet as stated in the PD. In addition, results will be communicated to the communities and other stakeholders. The audit team confirmed that the full results of the initial climate monitoring are in the PD, which is available in summary form to the communities, as well as information regarding how to access the full PD is available to communities and other stakeholders throughout the project zone. Results of monitoring will be made publicly available during each verification event.

3.3.10 Non-Permanence Risk Analysis

3.3.10.1 Introduction and Conclusion

The reported value of the overall risk rating, as determined based on the risk analysis documented in the NPRR, was 11%.

The audit team performed a complete review of the risk analysis against the requirements of the AFOLU Non-Permanent Risk Tool. The audit team concludes that the assignment of risk scores is appropriate and in conformance to the AFOLU Non-Permanence Risk Tool.

A detailed review of the audit team's conclusions may be found below:

3.3.10.2 Internal Risk – Project Management

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	As tree planting is not included in project activities as described in the PD, risk score is justified	N/A	Risk rating is appropriate
(b)	As no credits have previously been issued, risk score is justified	N/A	Risk rating is appropriate
(c)	As management team does include individuals with significant experience in all skills necessary to successfully undertake project, risk score is justified	The CV's provided /20/ are professional and of high quality	Risk rating is appropriate
(d)	From site inspections, audit team can confirm that management team maintains a presence in eastern province, which is within a day's drive from project area	N/A	Risk rating is appropriate

(e)	Through interviews with project personnel and institutional memory regarding a previous REDD+ Project mentioned in the NPRR. The audit team can confirm that the claims in the NPRR are accurate	N/A	Risk rating is appropriate
(f)	The audit team reviewed the documents that contain adaptive management plan elements and mitigation activities detailed in the PD	The documentation is high quality as discussed in Sections 2.3.8	Risk rating is appropriate

3.3.10.3 Internal Risk – Financial Viability

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	Audit team reviewed the 30 year budget and workplan /67/ and confirmed that project cash flow breakeven point is between 4 and 7 years from the current risk assessment; therefore, the risk score is justified	The documentation provided included audited financial documents and a detailed, user friendly budget workbook that allowed for assessment by the audit team and is therefore of high quality	Risk rating is appropriate
(b)			Risk rating is appropriate
(c)			Risk rating is appropriate
(d)			Risk rating is appropriate
(e)	N/A	N/A	Risk rating is appropriate
(f)			Risk rating is appropriate
(g)			Risk rating is appropriate
(h)	N/A	N/A	Risk rating is appropriate
(i)	N/A	N/A	Risk rating is appropriate

3.3.10.4 Internal Risk – Opportunity Cost

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(a)	Audit team agrees with the project team's assessment that the most profitable alternative land use activity is expected to be between 20% more and up to 20% less than that associated with project activities; or where baseline activities are subsistence-driven, net positive community impacts are demonstrated; the risk score is appropriate	N/A	Risk rating is appropriate
(b)			Risk rating is appropriate
(c)			Risk rating is appropriate
(d)			Risk rating is appropriate
(e)			Risk rating is appropriate
(f)			Risk rating is appropriate
(g)	N/A	N/A	Risk rating is appropriate

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
(h)	Audit team reviewed the community agreements /1/ and the legal documents that govern the agreements and agrees that the project is protected by legally binding commitment to continue management practices that protect the credited carbon stocks over the length of the project crediting period	As this is a Zambian legal agreement the audit team considers it high quality	Risk rating is appropriate

3.3.10.5 Internal Risk – Project Longevity

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of risk rating
	See Above	Please see above	Risk rating is appropriate

3.3.10.6 External Risk – Land Tenure and Resource Access/Impacts

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of the risk rating
(a)	N/A	N/A	N/A
(b)	While on site, the audit team visited local districts and reviewed the rights of use agreement for the project confirming that the ownership and rights of use are held by different entities	The community agreements /1/ were clearly defined. The audit team considers these documents of high quality	Risk rating is appropriate
(c)	N/A	N/A	N/A
(d)	N/A – While on site, the audit team held interviews with community members near the project area boundaries, as well as the fee owners of the land and were unable to uncover any disputes in the project area	N/A	N/A
(e)	N/A – the project is not a WRC project	N/A	N/A
(f)	As the community in place, the legally binding commitment to continue the management practices confirmed at validation are still in place	See item (b) above	Risk rating is appropriate

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of the risk rating
(g)	N/A	N/A	N/A

3.3.10.7 External Risks – Community Engagement

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of the risk rating
(a)	Through community interviews while on-site, the audit team confirmed that the project held extensive community meetings throughout the region and performed many outreach activities, and agreed with the risk score chosen for regarding total number of people consulted and the total local population living within the project boundary who are dependent on the project area for their livelihood.	N/A	N/A
(b)	Through community interviews while on-site, the audit team confirmed that the project held extensive community meetings throughout the region and performed many outreach activities, and agreed with the risk score chosen for regarding total number of people consulted and the total local population living within 20 km of the project boundary who are dependent on the project area for their livelihood.	N/A	N/A
(c)	Through on-site interviews with communities throughout the project area as well as extensive review of the project's adherence to the CCB Indicators (CCB validation occurring concurrent to VCS validation) the audit team confirms that the risk rating is appropriate	The audit team considers certified CCB documentation to be of high quality	Risk rating is appropriate

3.3.10.8 External Risk – Political Risk

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of the risk rating
(a)	-	-	N/A
(b)	-	-	N/A
(c)	The audit team downloaded dataset from World Bank Institute's Worldwide Governance Indicators (for the most recent five years, 2013-2017, as of July 2019) and confirmed the WGI score of -2.43	The dataset used is required by the AFOLU Non-Permanence Risk Tool, and can be considered high quality	Risk rating is appropriate
(d)	-	-	N/A
(e)	-	-	N/A
(f)	The audit team was able to determine that Zambia is taking part in REDD Readiness (http://www.unredd.net/index.php?option=com_national_programme&view=countries&id=49&Itemid=689). In addition, the audit team was provided with evidence /7/ that the project is receiving multi-lateral funding from USAID for implementing REDD readiness	The audit team considers the USAID grant funding and the UN-REDD Programme website to be of high quality	N/A

3.3.10.9 External Risk – Natural Risks

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of the risk rating
Fire	Given the expertise of the audit team with the forest types comprising the project area, the audit team can confirm that miombo woodlands are highly fire adapted and are susceptible to loss of carbon stocks from natural fire due to human created conditions. The success of the project in reducing slash and burn agricultural activities that result in fire vectors near and within the project boundaries is sufficient for keeping the likelihood and significance of natural fire static. The audit team was provided with a suite of peer reviewed literature confirming that natural fire does not present a risk to the project carbon stocks	As is allowed by the non-permanence risk tool, the audit team considers peer reviewed literature to be high quality	Risk rating is appropriate
Pest and Disease Outbreaks	Given the expertise of the audit team with the forest types comprising the project area, the audit team can confirm that miombo woodlands are highly resistant to pest and disease outbreaks. The audit team visited inventory plots across each district in the project area and confirmed that the species composition is consistent with the forest type listed above and therefore the risk of any changes to the ability of the forest areas to resist pest and disease outbreaks is insignificant	N/A	Risk rating is appropriate
Extreme Weather	The audit team agrees with claims in the PD regarding extreme weather. The audit team is experienced working in the region and agrees that extreme weather does not pose a risk to the carbon stocks in the project area	N/A	Risk rating is appropriate
Geological Risk	The audit team agrees with the claims in the PD. The audit team is experienced working in the region and agrees that geological events do not pose a risk to the carbon stocks in the project area	N/A.	Risk rating is appropriate

Risk	Assessment of rationale, assumptions and justification	Assessment of quality of documentation and data provided	Conclusion regarding appropriateness of the risk rating
Elephants	The audit team reviewed the rationale provided by project personnel and confirmed that it is supported by the peer reviewed literature provided in the project risk report. In addition, whereas the audit team agrees with the rationale of the risks that elephants have on the carbon stocks, conversation with wildlife experts both near the project area and along the opposite banks of the Zambezi River allowed the audit team to confirm that the lack of significant elephant populations in or around the project area at this time supports the risk score	As is allowed by the non-permanence risk tool, the audit team considers peer reviewed literature to be high quality	Risk rating is appropriate

3.3.11 Optional Gold Level: Regional Climate Change Scenarios (GL1.1)

The audit team reviewed the PD and confirmed it includes regional climate change and climate variability scenarios and impacts, using available studies, and identify potential changes in the local land-use scenario due to these climate change scenarios in the absence of the project. The audit team reviewed the suite of literature referenced in the PD and confirmed that the climate predictions of the literature are consistent with the claims in the PD.

3.3.12 Optional Gold Level: Climate Change Impacts (GL1.2)

Whereas, the impacts of climate change are difficult to predict, the audit team agrees with the assessment in the PD regarding the anticipation of climate change risks and the mitigation measures needed to avoid the expected risks. Based on the current information available, the audit team confirmed with a reasonable level of assurance that the PD provides adequate information for meeting the requirements of this indicator.

The audit team reviewed the PD and the referenced literature for this section and confirmed that PD provides information that the anticipated climate changes are having or are likely to have an impact on the well-being of communities and/or the conservation status of biodiversity in the project zone and surrounding regions

3.3.13 Optional Gold Level: Measures Needed and Designed for Adaptation (GL1.3)

The audit team reviewed the PD and confirmed that it provides an adequate demonstration that the project activities will assist communities and/or biodiversity to adapt to the probable impacts of climate change. Whereas, the effects of climate change are uncertain, the audit team agrees that the mitigation and adaptive strategies provided in the PD are appropriate for the communities and biodiversity in the project zone

3.4 Community

3.4.1 Descriptions of Communities at Project Start (CM1.1)

The audit team reviewed the PD and confirmed it contains a comprehensive description of communities at the start of the project, including social, economic and cultural diversity within the communities. Demographics, well-being, and other community characteristics (e.g. shared language, culture, and livelihood structures) are also presented comprehensively. Information about significant community changes in the past, like in-migration and population increase, as well as conflicts over resources, are described. The community descriptions draw from a variety of appropriate sources.

The audit team confirmed that the descriptions contained in the PD are accurate and thorough through a large number of on-site observations and interviews. Interviews were held with local communities including a variety of stakeholders and livelihoods groups throughout the project zone. Interviews were also held with project personnel who work closely with project communities.

The audit team concludes that the project descriptions of the communities at the start of the project and any significant community changes in the past are thorough and accurate.

3.4.2 Interactions between Communities and Community Groups (CM1.1)

Please see Section 3.4.1 above.

3.4.3 High Conservation Values (CM1.2)

The audit team confirmed that the descriptions contained in the PD regarding the community-related High Conservation Values (HCVs) are accurate through on-site observations and interviews. Given that the community-related HCVs are inherently correlated with the project's climate benefits, the audit team agrees that avoided deforestation and forest degradation are expected to have positive impacts on the community well-being, as described in the PD.

3.4.4 Without-Project Scenario: Community (CM1.3)

The audit team reviewed the PD and confirmed it includes an estimate of the expected changes in the well-being of communities, including all constituent socio-economic or cultural groups such as indigenous peoples under the without-project scenario. The audit team confirmed that the project uses the Theory of Change methodology and SBIA assessments, as suggested by the CCB Standards. It was confirmed that the text in the PD is well supported by a series of flow diagrams which allow for assessment by the auditor and public. While on site, the audit team interviewed local community members who confirmed that the assumptions in the model were a result of the consultation process and are therefore clearly defensible. Furthermore, the focal issues used as indicators of change allowed the audit team to draw a clear comparison between the 'with project' and 'without project' scenarios. The PD includes a detailed breakdown of anticipated impacts by group and shows the result to be net positive for all groups, therefore meeting the requirements of this indicator.

The audit team therefore concludes that the expected changes to the community well-being in the without-project scenario are well-supported.

3.4.5 Expected Community Impacts (CM2.1)

The audit team reviewed the PD and confirmed it includes a detailed assessment of expected community impacts on the well-being of communities, including all constituent socio-economic or cultural groups such as indigenous peoples under the with-project scenario. The audit team confirmed that the project utilizes appropriate methodologies, including the recommended SBIA assessments, and including predicted and actual, costs and risks, on each of the identified community groups. It was confirmed that the text in the PD is supported by a series of flow diagrams (e.g. Result Chain diagrams) which allow for assessment by the auditor and public. While on site, the audit team interviewed local community members who confirmed that the assumptions in the model with regard to community impacts, were a result of the consultation process and are therefore defensible. The PD includes a detailed breakdown of anticipated impacts by group and shows the result to be net positive for all groups, therefore meeting the requirements of this indicator.

The audit team therefore concludes that the expected changes to the community well-being in the with-project scenario are well-supported.

3.4.6 Negative Community Impact Mitigation (CM2.2)

The audit team reviewed the PD and confirmed it addresses community impacts and measures needed to mitigate potential negative impacts on community groups. While on site, the audit team interviewed local community members who confirmed that potential negative community impacts and measures to counteract them were collaboratively addressed during outreach efforts. In addition, the project's monitoring systems are designed to monitor for negative impacts to community-related HCV attributes.

The audit team therefore concludes that measures designed to mitigate any negative well-being impacts on community groups, and for maintenance or enhancement of the HCV attributes, are well-supported.

3.4.7 Net Positive Community Well-Being (CM2.3, GL1.4)

The audit team reviewed the PD and confirmed that the anticipated net well-being impacts of the project are predicted to be positive for all identified community groups. While on site, the audit team interviewed local community members who confirmed these claims.

The audit team therefore concludes that the project's anticipated net well-being impacts are predicted to be positive for all identified community groups compared with their anticipated well-being conditions under the without-project land use scenario.

See section 3.3.13 above for gold level steps.

3.4.8 High Conservation Values Protected (CM2.4)

The audit team reviewed the PD and confirmed that the community-related HCV's are not negatively affected by the project. The project's main goals of protecting forests will provide enhanced access to hydrological services, as well as assist in prevention of soil erosion. The areas that are fundamental to meeting the basic needs of the communities, such as providing poles for building material and fuel, will be collaboratively managed such that they will not be negatively impacted. Areas critical for the traditional

cultural identity of communities will similarly not be negatively impacted. While on site, the audit team interviewed a large number of local community members who confirmed these claims.

The audit team therefore agrees with the conclusion that the community-related HCV's will not be negatively affected by the project.

3.4.9 Impacts on Other Stakeholders (CM3.1)

The audit team reviewed the PD's write-up regarding potential positive and negative impacts of the project activities to the well-being of other stakeholders. The audit team agrees that most impacts will be positive (e.g. provisioning of ecosystem services like clean water and climate regulation) and that halting certain illegal extractive activities from the project area may affect the temporary income of some offsite stakeholders, but that such activities are a legal offence and therefore their abatement ultimately support law enforcement in the area. The audit team also agrees that a heightened risk of human wildlife conflict may result from the project.

While on site, the audit team interviewed government officials, as well as community leaders who confirmed that the offsite stakeholder impacts described in the PD are accurate. Furthermore, the audit team was provided with photographic evidence of the illegal activities undertaken by offsite stakeholders.

The audit team therefore agrees with the conclusions drawn regarding potential positive and negative impacts that the project activities may cause to the well-being of other stakeholders.

3.4.10 Mitigation of Negative Impacts on Other Stakeholders (CM3.2)

The audit team reviewed the PD's write-up regarding measures needed and included in the project description to mitigate potential negative impacts to the well-being of other stakeholders.

The audit team agrees with the conclusions drawn regarding mitigation of negative impacts on other stakeholders

3.4.11 Net Impacts on Other Stakeholders (CM3.3)

The audit team reviewed the PD and confirmed that the anticipated net well-being impacts of the project are predicted to be positive for other stakeholders. While on site, the audit team interviewed local community members who confirmed these claims.

The audit team therefore concludes that the project does not produce net negative impacts on the well-being of other stakeholders.

3.4.12 Community Monitoring Plan (CM4.1, CM4.2, GL1.4, GL2.2, GL2.3, GL2.5)

The audit team reviewed the community monitoring plan /13/, as described in the PD and confirmed that it employs the Theory of Change and the Social Impact Assessments, as suggested by the CCB Standards. The audit team confirmed that the plan has selected variables that are directly linked to the project's community development objectives and impacts, and that the appropriate sampling methods, frequencies, and reporting methods are used. While on site, the audit team interviewed local community

members who confirmed that the community variables were produced as a result of the consultation process and are anticipated to be positive.

The audit team therefore concludes that the community monitoring plan meets the requirements of the relevant CCB Standard indicators.

3.4.13 Monitoring Plan Dissemination (CM4.3)

While on site, the audit team confirmed that the community monitoring plan was available for public review in the Project Office as is stated in the PD. Results of monitoring will be made publicly available during each verification event.

3.4.14 Optional Gold Level: Exceptional Community Criteria (GL2.1)

The audit team reviewed the documentation provided regarding human development in Zambia and more specifically, the eastern province area. In addition, the audit team held interviews with government officials. Through these methods, the audit team was able to glean that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.15 Optional Gold Level: Short-term and Long-term Community Benefits (GL2.2)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.16 Optional Gold Level: Community Participation Risks (GL2.3)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.17 Optional Gold Level: Marginalized and/or Vulnerable Community Groups (GL2.4)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team reviewed the census and economic demographics provided /17/ /25-27/. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.18 Optional Gold Level: Net Impacts on Women (GL2.5)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.19 Optional Gold Level: Benefit Sharing Mechanisms (GL2.6)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.20 Optional Gold Level: Benefits, Costs, and Risks Communication (GL2.7)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.21 Optional Gold Level: Governance and Implementation Structures (GL2.8)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.4.22 Optional Gold Level: Smallholders/Community Members Capacity Development (GL2.9)

The audit team reviewed the project documentation and were able to corroborate such claims through interviews with local stakeholders. The audit team was able to determine that the claims in the PD are enough for meeting the requirements of this indicator currently.

3.5 Biodiversity**3.5.1 Existing Conditions (B1.1)**

The audit team held interviews with local officials and community members while on site who corroborated claims in the PD regarding existing conditions within the project zone. In addition, the audit team interviewed individuals from the organization implementing the biodiversity monitoring program (Carnivore Program), who attested that the results of the biodiversity monitoring are accurately reported in the PD.

3.5.2 High Conservation Values (B1.2)

The audit team held interviews with local officials and community members while on site who corroborated claims in the PD regarding HCV's within the project zone. The audit team agrees that the description in the PD is enough for meeting the requirements of this indicator.

3.5.3 Without-project Scenario: Biodiversity (B1.3)

The audit team held interviews with local officials and community members while on site who corroborated claims in the PD regarding the with-out project scenario within the project zone. The audit team agrees that continued deforestation is more than likely to have negative effects on the wildlife dependent on intact forest. The audit team agrees that the description in the PD is enough for meeting the requirements of this indicator.

3.5.4 Expected Biodiversity Changes (B2.1)

The audit team held interviews with local officials and community members while on site who corroborated claims in the PD regarding biodiversity changes within the project zone. The audit team agrees that avoiding deforestation is more than likely to have positive effects on the wildlife dependent on

intact forest. The audit team agrees that the description in the PD is enough for meeting the requirements of this indicator.

3.5.5 Mitigation Measures (B2.3)

The audit team held interviews with local officials and community members while on site who corroborated claims in the PD regarding biodiversity mitigation within the project zone. The audit team agrees that protecting biodiversity is more than likely to have only positive effects on the project zone. The audit team agrees that the description in the PD is enough for meeting the requirements of this indicator.

3.5.6 Net Positive Biodiversity Impacts (B2.2, GL1.4)

The audit team held interviews with local officials and community members while on site who corroborated claims in the PD regarding biodiversity impacts. It is inherent that protecting habitat is more than likely to have positive effects on biodiversity.

In addition, the audit team agrees that these impacts will be equal to those gold level benefits. Section 3.3.1.2 above provides a description of the possible impacts of climate change.

The audit team agrees that the description in the PD is enough for meeting the requirements of this indicator.

3.5.7 High Conservation Values Protected (B2.4)

The project does not anticipate negative impacts to biodiversity-related HCV's in the project area. The audit team agrees given that the primary project activity is protection of the forest, and thereby the species' habitat. For the maintenance of the biodiversity HCV attributes of the project area, the audit team concludes that only positive impacts will occur.

3.5.8 Species Used (B2.5)

This indicator is not applicable as no species are used by the project, and furthermore no invasive species are used in the project.

3.5.9 Impacts of Non-native Species (B2.6)

This indicator is not applicable as no nonnative species are used in the project.

3.5.10 GMO Exclusion (B2.7)

This indicator is not applicable as no GMO's will be used to generate emission reductions or removals.

3.5.11 Inputs Justification (B2.8)

This indicator is not applicable as no fertilizers, chemical pesticides, biological control agents and other inputs will be used for the project.

3.5.12 Waste Products (B2.9)

This indicator is not applicable as no waste products beyond the normal amount produced through general operations, will be generated by the project.

3.5.13 Negative Offsite Biodiversity Impacts (B3.1) and Mitigation Measures (B3.2)

N/A – no negative offsite biodiversity impacts are anticipated.

3.5.14 Net Offsite Biodiversity Benefits (B3.3)

The audit team concludes that only positive biodiversity impacts will occur due to the project; as a result, per Section 3.5.5 and 3.5.7, evaluation of unmitigated offsite impacts is not applicable.

3.5.15 Biodiversity Monitoring Plan (B4.1, B4.2, GL1.4, GL3.4)

The audit team reviewed the biodiversity monitoring plan /13/, as described in the PD and confirmed that it employs the Theory of Change and the Social Impact Assessments, as recommended by the CCB Standards. The audit team confirmed that the plan has selected biodiversity indicators that are directly linked to the project's biodiversity objectives, and that the appropriate sampling methods, frequencies, and reporting methods are used. While on site, the audit team interviewed project personnel involved in the wildlife surveys and observed the biomass teams involved in carbon plot monitoring, and confirmed their competence to perform the wildlife and vegetation monitoring protocols. In addition, the audit team was able to independently confirm the accuracy of the GIS and remote sensing work performed by the project partners through validation activities.

The audit team therefore concludes that the biodiversity monitoring plan meets the requirements of the relevant CCB Standard indicators.

3.5.16 Biodiversity Monitoring Plan Dissemination (B4.3)

While on site, the audit team confirmed that the biodiversity monitoring plan was available for public review in the Project Office as is stated in the PD. Results of monitoring will be made publicly available (on the internet, and summaries to the communities and other stakeholders) during each verification event.

3.5.17 Optional Gold Level: High Biodiversity Conservation Priority Status (GL3.1)

The audit team reviewed the PD, as well as the IUCN RED List and interviewed individuals from the Carnivore Program and confirmed the claims in the PD to be accurate.

3.5.18 Optional Gold Level: Trigger Species Population Trends (GL3.2, GL3.3)

The audit team reviewed the PD, as well as the IUCN RED List and interviewed individuals from the Carnivore Program and confirmed the claims in the PD to be appropriate for assessing changes over the life of the project.

4 VALIDATION CONCLUSION

In conclusion, the project complies with the validation criteria for projects set out in CCB Version 3 and VCS Version 3. The audit team holds no qualifications or limitations regarding the above statement.

The project is reasonably likely to achieve the estimated GHG emission reductions, although the extent to which it will do so is dependent upon the following dimensions of project performance, which have not been directly assessed at validation and which will be monitored and assessed as part of future verification engagements:

- Project emissions (dependent upon deforestation-related carbon stock change in the project accounting area under the project scenario, which has been assumed to be zero in ex-ante calculations)
- Leakage emissions (dependent upon the extent to which deforestation is displaced to the activity-shifting leakage area due to project activities)
- Uncertainty in carbon stock estimates for the project accounting and proxy areas

In conclusion, the project is likely to achieve the project's stated climate change adaptive capacity and resilience, community, and biodiversity benefits.

APPENDIX A: VALIDATION FINDINGS

The findings below are a record of issues raised throughout the validation process. All responses from Project Personnel are titled "Client Response" and are a verbatim transcription of their responses

NCR 1 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180701_CFP_PD Title Page

Finding: "The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

In review of the joint project description template, the verification team noted that the title page requires the use of the dating convention ""DD-Month-YYYY, however in review of the project description provided by project personnel the verification team noted the use of the dating convention ""DD-MM-YYYY."" Given, the project description provided by project personnel uses numbers to represent the month, rather than spelling out the month, as required, the project is not in conformance with respect to this requirement

Project Personnel Response: Date formatting has been updated on the title page and other non-conformities have been fixed.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows the title page to now be in conformance with the Standard.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 2 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.10.1 (1) (a)

Document Reference: N/A

Finding: "The VCS standard states ""Project location shall be specified in the project description as follows:

1) Project location for non-AFOLU projects shall be specified by a single geodetic coordinate. Where there are multiple project activity instances (see Section 3.3 for more information on multiple project activities), the following applies:

a) Where it is reasonable to do so, a geodetic coordinate shall be provided for each instance and provided in a KML file; or..."

In review of the Verra website, the verification team unable to locate a KML file or KML files of the project area and therefore the project is not in conformance with this requirement."

Project Personnel Response: A kml of the project area was emailed to the VCS secretariate on the 2nd of July, 2019

Auditor Response: The verification team reviewed the VCS website and confirmed that a kml has been provided as required. The verification team reviewed the kml in GoogleEarth and was found consistent with the project area data provided for validation.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 3 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G1.7

Document Reference: 20180701_CFP_PD Figure 8

Finding: "The CCB Standard states ""The project has clear objectives to generate climate, community and biodiversity benefits and is designed to meet these objectives. Risks are identified and managed to generate and maintain project benefits within and beyond the life of the project...

Provide a map identifying the location of communities and the boundaries of the project area(s), of the project zone, including any high conservation value areas (identified in CM1 and B1), and of additional areas that are predicted to be impacted by project activities identified in CL3, CM3 and B3.""

In review of the project description the verification team noted that the map provided (figure 8) does not include the high conservation areas identified in sections CM1 and B1 or does it identify any additional areas that are predicted to be impacted by project activities identified in CL3, CM3 and B3 and therefore is not in conformance with this requirement at this time."

Project Personnel Response: The map has been updated to include high conservation values and text specifies that project zone is areas outside the project area that will be impacted by project activities.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that figure nine has all of the information required by the standards.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 4 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

CCB Standard v3.1 G1.8

Document Reference: 20180701_CFP_PD 2.1.11

Finding: "The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

In addition, section 2.1.11 of the template requires that project proponents ""Provide a summary description of each project activity (including the technologies or measures employed) and the expected output, outcomes and impacts using a theory of change to explain how the activities will achieve the project's predicted climate, community, and biodiversity benefits.

Provide a detailed description of the GHG emission reduction or removal activities, including:

- For all measures listed, include information on any conservation, management or planting activities, including a description of how the various organizations, communities and other entities are involved.
- In the description of the project activity, state if the project is located within a jurisdiction covered by a jurisdictional REDD+ program..."

In review of the project description provided by project personnel, the verification team was unable to find the required statement of whether the project is included within a jurisdiction covered by a jurisdictional REDD+ program and therefore the project is not in conformance with this requirement.

Project Personnel Response: The project is not in a jurisdiction covered by a jurisdictional REDD+ program. A statement about that has been added to this section.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.11 includes the required statement.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 5 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

CCB Standard v3.1 G1.8

Document Reference: 20180701_CFP_PD 2.1.11

Finding: "The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states "PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

In addition, section 2.1.11 of the template requires that project proponents ""Provide a summary description of each project activity (including the technologies or measures employed) and the expected output, outcomes and impacts using a theory of change to explain how the activities will achieve the project's predicted climate, community, and biodiversity benefits..."

In review of the project description, it is unclear to the verification team as to how the language meets the requirement to explain how the activities will achieve the project's predicted climate, community, and biodiversity benefits and therefore the verification team is asking for greater clarity on how the project activities how the activities will achieve the project's predicted climate, community, and biodiversity benefits.

Project Personnel Response: The text of this section has been edited to better explain how the project activities will achieve the project's predicted climate, community, and biodiversity benefits.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.11 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 6 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180701_CFP_PD 2.1.12

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

In addition, section 2.1.12 states ""Describe how the project contributes to achieving any nationally stated sustainable development priorities, including any provisions for monitoring and reporting same.""

In review of the project description, the verification team noted that while the text provided describes how project contributes to achieving any nationally stated sustainable development priorities, it does not include any provisions for monitoring and reporting same and therefore is not in conformance with this requirement."

Project Personnel Response: The section has been updated to include provisions for monitoring and reporting the projects contributions to SDGs

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.12 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 7 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

CCB Standard v3.1 G1.9

Document Reference: 20180701_CFP_PD 2.1.13

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

In addition, section 2.1.13 states ""Identify key dates and milestones in the project's development and implementation, such as introductory meeting dates, start and end dates for each project activity, start and end dates for the GHG accounting period, monitoring schedule, verification schedule, etc.

Add rows to the table below as necessary.""

In review of the project description, the verification team noted that the project description includes language identifying key dates and milestones in the project's development and implementation, such as introductory meeting dates, start and end dates for each project activity, however there is no evidence of start and end dates for the GHG accounting period, monitoring schedule, verification schedule. Whereas, the language of the template uses the phrase ""such as"" which does not specifically require that all items listed in the template be included, it is the professional judgment of the verification team that start and end dates for the GHG accounting period, monitoring schedule, verification schedule would be considered ""key milestones"" and should be included in the project description. Please provide justification for the exclusion of these items from this section of the project description."

Project Personnel Response: The suggested milestones have been added to section 2.1.13

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.13 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 8 Dated 19 Oct 2018

Standard Reference: AFOLU Requirements 3.2.1

Document Reference: 20180701_CFP_PD 2.1.14

Finding: The AFOLU Requirements state ""As set out in the VCS Standard, the project start date of an AFOLU project shall be the date on which activities that lead to the generation of GHG emission reductions or removals are implemented. Such activities may include preparing land for seeding, planting, changing agricultural or forestry practices, rewetting, restoring hydrological functions, or implementing management or protection plans.""

In addition, the project description states ""19 July 2016. The date communities signed agreements to undertake REDD+ Projects (Appendix A).""

From the information provided in the project description, it is unclear how the signed community agreements in and of themselves lead to the generation of GHG emission reductions or removals. Please provide justification on how the agreements meet this requirement.

Project Personnel Response: Based on an improved understanding of project start date requirements, the project start date has been moved to May 1st, 2015, which is shortly after major boundary demarcation work began in 5 of 12 cheifdoms. The explanation was added to 2.1.14.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.14 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 9 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.4.9

Document Reference: 20180701_CFP_PD 2.1.21 (1)

Finding: The VCS Standard states ""Grouped projects shall include one or more sets of eligibility criteria for the inclusion of new project activity instances. At least one set of eligibility criteria for the inclusion of new project activity instances shall be provided for each combination of project activity and geographic area specified in the project description. A set of eligibility criteria shall ensure that new project activity instances:

- 1) Meet the applicability conditions set out in the methodology applied to the project.
- 2) Use the technologies or measures specified in the project description.
- 3) Apply the technologies or measures in the same manner as specified in the project description.
- 4) Are subject to the baseline scenario determined in the project description for the specified project activity and geographic area.
- 5) Have characteristics with respect to additionality that are consistent with the initial instances for the specified project activity and geographic area. For example, the new project activity instances have financial, technical and/or other parameters (such as the size/scale of the instances) consistent with the initial instances, or face the same investment, technological and/or other barriers as the initial instances.""

In review of the project description the verification team noted that while the document contains eligibility criteria for new activity instances, it does not include criteria to ensure that all the applicability criteria of the methodology (e.g. The project accounting area(s) shall not contain peat soil, among others). Please provide evidence for how the eligibility criteria for new project activity instances meet the applicability conditions set out in the methodology applied to the project.

Project Personnel Response: This section of the PD has been updated to include all of the eligibility requirements for VM0009

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.21 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 10 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G1.15

Document Reference: 20180701_CFP_PD 2.1.21 (2)

Finding: The CCB Standard states ""The project has clear objectives to generate climate, community and biodiversity benefits and is designed to meet these objectives. Risks are identified and managed to generate and maintain project benefits within and beyond the life of the project... Establish scalability limits, if applicable, and describe measures needed and taken to address any risks to climate, community and biodiversity benefits if the project expands beyond those limits."" In addition, footnote of the CCB standards states ""This is the scale beyond which, if new project activities are added, the project may not generate net positive climate, community or biodiversity benefits, such as capacity limits, economic and managerial constraints, and thresholds for project expansion beyond which there may be negative impacts on communities and/or biodiversity."" In review of the project description the verification noted that the information provided has not justified the exclusion of potential scalability limits on capacity or economics and managerial constraints and therefore is not in conformance with this requirement.

Project Personnel Response: The section has been updated to recognize that there are potential scalability limits on capacity, economic and managerial grounds.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.21 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 11 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G1.15

Document Reference: 20180701_CFP_PD 2.1.21 (3)

Finding: The CCB Standard states ""The project has clear objectives to generate climate, community and biodiversity benefits and is designed to meet these objectives. Risks are identified and managed to generate and maintain project benefits within and beyond the life of the project... For grouped projects, if scalability limits are applicable, describe measures needed and designed to address any risks to climate, community and biodiversity benefits if the project expands beyond those limits."" Based on NCR 10 above, please provide information for this section if applicable."

Project Personnel Response: The section has been updated to describe the strategies that BCP is pursuing to address the scalability constraints identified in part two of section 2.1.21

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.1.21 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 12 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G2.1

Document Reference: 20180701_CFP_PD 2.2.2

Finding: The CCB Standard states ""Describe the most likely land-use scenario within the project zone in the absence of the project, describing the range of potential land-use scenarios and the associated drivers of land use changes and justifying why the land-use scenario selected is most likely. It is allowable for different locations within the project zone to have different without-project land use scenarios.""

In addition, the joint project description template states ""Provide justification in the form of credible and well-documented analyses for the most likely of these land use scenarios. Acceptable evidence includes, but is not limited to, poverty assessments, farming knowledge assessments, or remote sensing analysis. Where a published methodology or model is used to assess land use change and the drivers of land use change, provide a full reference and explain any variations from the published methodology.""

In review of the project description, the verification team noted the following text ""Please see section 3.1.4 for evidence of the most likely land use scenario. Evidence was generated through PRA and a detailed study correlating the drivers with deforestation, remote sensing and consulting peer reviewed literature (Appendix X)."" The verification team have reviewed all the appendices provided by project personnel and are unable to locate any documentation titled ""Appendix X"" and therefore cannot assess this indicator.

Project Personnel Response: Was suppose to be Appendix K. Has been updated in the PD.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.2 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 13 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G2.2

Document Reference: 20180701_CFP_PD 2.2.3

Finding: The CCB Standard states ""Document that project benefits including climate, community and biodiversity benefits would not have occurred in the absence of the project, explaining how existing laws, regulations and governance arrangements, or lack of laws and regulations and their enforcement, would likely affect land use and justifying that the benefits being claimed by the project are truly 'additional' and would not have occurred without the project. Identify any distinct climate, community and biodiversity benefits intended for use as offsets and specify how additionality is established for each of these benefits.""

Additionally, footnote 37 of the Standard states ""Project proponents must demonstrate that project activities would not have been implemented under the without project scenario due to significant financial, technological, institutional or capacity barriers. Actions implemented by the project must not be required by law, or project proponents must demonstrate that the pertinent laws are not being enforced. Project proponents must provide credible and well-documented analyses (e.g., poverty assessments, farming knowledge assessments, or remote sensing analysis) to demonstrate that the without-project land use scenario reflects land use practices that are likely to continue or that otherwise differ from the land use practices expected because of project activities. The most recent version of the following Verified Carbon Standard tool may be used: VT0001: Tool for the Demonstration and Assessment of Additionality in VCS Agriculture, Forestry and Other Land Use (AFOLU) Project Activities (available on the VCS website) considering the following options: Sub-step 2b. – Option I. Apply simple cost analysis; or Step 3. Barrier analysis.""

The purpose of this section is to provide the reader with documented evidence how project proponents determined that the project is designed to be truly additional. specifically, project proponents are required to ""demonstrate that project activities would not have been implemented under the without project scenario due to significant financial, technological, institutional or capacity barriers."" In review of the project description the verification team noted that, while some information is provided in this section, there is no ""demonstration"" as described above.

Whereas, the verification team notes that the standard allows for the use of the VCS VT001 Tool to demonstrate such and the tool has been used and explained further along in the document, there is nothing in the text for this section that would lead the reader to this understanding. Please update the project description to fully meet the requirements of this section."

Project Personnel Response: A reference has been added in this section to direct the reader to the section of the PD where the application of the VCS VT0001 is described in detail.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.2.3 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 14 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G2.2

Document Reference: 20180701_CFP_PD 2.2.4

Finding: The CCB Standard states ""Document that project benefits including climate, community and biodiversity benefits would not have occurred in the absence of the project, explaining how existing laws, regulations and governance arrangements, or lack of laws and regulations and their enforcement, would likely affect land use and justifying that the benefits being claimed by the project are truly 'additional' and would not have occurred without the project. Identify any distinct climate, community and biodiversity benefits intended for use as offsets and specify how additionality is established for each of these benefits.""

This finding is quite minor in nature and is issued as the language between the CCB Standard and joint template is inconsistent. Given the overall reading of the template, it appears that only community and biodiversity additionality is to be considered here, however the section of the standard includes climate in this language. Please update this section to include language regarding climate benefits."

Project Personnel Response: A reference to climate benefits has been added to section 2.2.4, even though the template specifically says not too.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that section 2.2.4 includes the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 15 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.1

Document Reference: 20180701_CFP_PD 2.3.1 and 2.3.2

Finding: The CCB Standard states ""Communities and other stakeholders are involved in the project through full and effective participation, including access to information, consultation, participation in decision-making and implementation, and free, prior and informed consent (requirements for free, prior and informed consent are included in G5.2). Timely and adequate information is accessible in a language and manner understood by the communities and other stakeholders. Effective and timely consultations are conducted with all relevant stakeholders and participation is ensured, as appropriate, of those that want to be involved.

Feedback and grievance redress procedures are established and functional.

Best practices are adopted for worker relations and safety...

Describe how full project documentation has been made accessible to communities and other stakeholders, how summary project documentation⁴¹ (including how to access full documentation) has been actively disseminated to communities in relevant local or regional languages and how widely publicized information meetings have been held with communities and other stakeholders.""

In addition, sections 2.3.1 and 2.3.2 of the joint template state ""Describe how full project documentation, including project description documentation and monitoring reports, as they become available through the project lifetime, has been and will be made accessible to communities and other stakeholders.""

and ""Describe how summary project documentation, including information required for G1.1-9, has been actively disseminated to communities. Describe how summary information on monitoring results will be actively disseminated to communities."" respectively.

In review of the project description, the verification team noted that the language in these two sections has been transposed, as section 2.3.1 discusses summary information and section 2.3.2 discussed dissemination of the final draft of the PD. Please clarify in the project description which text belongs under which section."

Project Personnel Response: The language for these two sections has been edited to better match the template requirements for each section.

Auditor Response: The verification team was provided with an updated project description (PD) dated 15 July 2019. A review of the updated documentation shows that sections 2.3.1 and 2.3.2 include the required information.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 16 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.1

Document Reference: N/A

Finding: The CCB Standard states ""Communities and other stakeholders are involved in the project through full and effective participation, including access to information, consultation, participation in decision-making and implementation, and free, prior and informed consent (requirements for free, prior and informed consent are included in G5.2). Timely and adequate information is accessible in a language and manner understood by the communities and other stakeholders. Effective and timely consultations are conducted with all relevant stakeholders and participation is ensured, as appropriate, of those that want to be involved.

Feedback and grievance redress procedures are established and functional.

Best practices are adopted for worker relations and safety...

Describe how full project documentation has been made accessible to communities and other stakeholders, how summary project documentation⁴¹ (including how to access full documentation) has been actively disseminated to communities in relevant local or regional languages and how widely publicized information meetings have been held with communities and other stakeholders.""

In addition, sections 2.3.1 and 2.3.2 of the joint template state ""Describe how full project documentation, including project description documentation and monitoring reports, as they become available through the project lifetime, has been and will be made accessible to communities and other stakeholders.""

and ""Describe how summary project documentation, including information required for G1.1-9, has been actively disseminated to communities. Describe how summary information on monitoring results will be actively disseminated to communities."" respectively.

During the site visit, the verification team was made aware that community members who participated in the stakeholder engagement all signed documents stating that they had attended and were providing free prior and informed consent. Please provide such evidence."

Project Personnel Response: There isn't a single signed document that says community members provided free prior and informed consent. Instead, FPIC was multi-stem process involving many different meetings overtime. It is a continuous process. BCP does have documentation of various FPIC related meetings and signed attendance sheets for those meetings. The documents and attendance sheets have been scanned and are on the BCP Gdrive. A Gdrive link to the documentation will be shared with SCS.

Auditor Response: The verification team reviewed the meeting minutes and sign in sheets from various FPIC meetings and confirmed the response to be appropriate for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 17 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.3

Document Reference: 20180701_CFP_PD 2.3.6

Finding: The CCB Standard states ""Describe the measures taken, and communications methods used, to explain to communities and other stakeholders the process for CCB validation and/or verification by an independent validation/verification body, providing them with timely information about the validation/verification body's site visit before the site visit occurs and facilitating direct and independent communication between them or their representatives and the validation/verification body.""

In addition, the project description states ""Similar to the process that we followed for the verification of the LZRP, BCP will ensure that the schedule for the auditor's site visit, and community meetings, will be widely announced -- both through verbal announcements disseminated through local staff, implementing partners and community institutions, as well as through hard-copy announcements (posters, flyers) that will be posted openly in public spaces, to ensure that announcements have been widely, openly, transparently and publicly made. This announcement process will be documented, including photographs taken of announcements being made publicly in communities, in advance of meetings and/or visits taking place.""

During the site visit, several stakeholders informed the verification team that they had only been aware of our presence mere days before our arrival and once a meeting time had been set. It is important to note that the intent of this criterion is to ensure any stakeholders on site who would like to speak with the verification team have the opportunity. It is the understanding of the verification team that given their sheer size of the project zone, that the time between making communities aware of our presence on site and our being on site was not provided in a 'timely' manner.

Whereas, the verification team is aware that not all stakeholders will be aware of our presence on site for a variety of reasons and the information received from community members must sometimes be taken with a grain of salt, evidence that stakeholders had been made aware of our presence on site in a timely manner must be provided. Please provide the evidence claimed in the project description.

Project Personnel Response: More advanced notice was provided, but to CRBs who may not have widely circulated the information. This was improved during the second site visit in April, 2018, with public notices being posted in communities in advance of the visit. The SCS auditor may recall seeing one at the river cross point when on the way to visit biomass plots in Luembe chiefdom. While the notice method and documentation used prior to the first monitoring visit did not fit what is described in the PD, the project does intend to use the approach described in the PD before all future verifications.

Auditor Response: The audit team agrees that it is not rare for individual community members to forget the specifics of meetings and that the preponderance of evidence supports the project claims.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 18 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.3

Document Reference: 20180701_CFP_PD Table 10

Finding: The VM0015 methodology states the following:

"The two sources of GHG emissions listed in table 4 are considered in this methodology...

In the project scenario: It is reasonable to assume that the project activity, including when harvest activities are planned (such as logging for timber, fuel-wood collection and charcoal production), produces less emissions of GHG than the baseline activities implemented prior and after deforestation on the deforested lands. Therefore, the omission of certain sources of GHG emissions, such as the consumption of fossil fuels, will not cause an overestimation of the net anthropogenic GHG emission reductions. However, non-CO2 emissions from forest fires must be counted in the project scenario when they are significant."

In review of the project description the verification team noted that the project is include CH4 emissions for the baseline scenario, but state ""Fire in the project area does not result in losses of any accounted carbon pools"" in the project scenario. Whereas, the verification team understands that no CH4 emission will be included in the case the project is 100% successful, in cases where the project is not 100% successful that the same condition as in the baseline (""After clearing fields fire is used to remove dead biomass"") would be present. Given that the methodology requires that non-CO2 emissions from forest fires must be counted in the project scenario when they are significant, the project is not in conformance at this time, as no evidence of significance has been provided.

Project Personnel Response: VM0009 considers it to be conservative to exclude these emissions. So, with the switch to VM0009, this finding no longer applies. The PD has been updated accordingly.

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 19 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.4

Document Reference: 20180701_CFP_PD Table 10

Finding: The VM0015 methodology states the following:

""The two sources of GHG emissions listed in table 4 are considered in this methodology...

1. TBD = To Be Decided by the project proponent. The source can be excluded only when its exclusion does not lead to a significant over-estimation of the net anthropogenic GHE emission reductions of the AUD project activity.""

In review of the project description, the verification team noted that there are a number of items in table 10 for which the justification column simply states ""Not significant"" or ""not significant no livestock in the project area."" As there is no evidence that livestock has been removed from the project area and the baseline states ""Not significant very little livestock in baseline"" one would expect that there would be ""very little livestock in the project scenario.

Given that the methodology requires items in table 4 with a ""TBD"" in the inclusion column to be decided by the project proponent, the verification team would expect there be justification that the emission factors are not significant.

Project Personnel Response: Livestock emissions must be explicitly calculated under VM0009 in the project scenario and not counted in the baseline scenario. The emissions table has been updated to show the evidence that project livestock emissions are de minimis and can be excluded.

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 20 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.7

Document Reference: 20180701_CFP_PD 2.3.11

Finding: The CCB Standard states ""Describe the measures needed and taken to ensure that the project proponent and all other entities involved in project design and implementation are not involved in or complicit in any form of discrimination or sexual harassment with respect to the project.""

In review of the project description the verification team noted that BCP has policies in place to ensure that the project proponent is not involved in or complicit in any form of discrimination or sexual harassment with respect to the project. In review of said policy the verification team also noted that the policy is sufficient for meeting the requirements of describing the measures needed and taken. What is discernable from review of the project description is how conformance to this requirement by other entities (see section 2.1.4 of the project description) involved in project design and implementation has been met and therefore is not in conformance with this requirement.

Project Personnel Response: The PD has been updated to include information showing how other parties are also restricted from discriminating.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 21 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.8

Document Reference: 20180701_CFP_PD 2.3.12

Finding: The CCB Standard states ""Demonstrate that a clear grievance redress procedure has been formalized to address disputes with communities and other stakeholders that may arise during project planning, implementation and evaluation with respect but not limited to, free, prior and informed consent, rights to lands, territories and resources, benefit sharing and participation. The project shall include a process for receiving, hearing, responding to and attempting to resolve grievances within a reasonable time period. The feedback and grievance redress procedure shall take into account traditional methods that communities and other stakeholders use to resolve conflicts. The feedback and grievance redress procedure shall have three stages with reasonable time limits for each of the following stages.

First, the project proponent shall attempt to amicably resolve all grievances and provide a written response to the grievances in a manner that is culturally appropriate.

Second, any grievances that are not resolved by amicable negotiations shall be referred to mediation by a neutral third party.

Third, any grievances that are not resolved through mediation shall be referred either to a) arbitration, to the extent allowed by the laws of the relevant jurisdiction or b) competent courts in the relevant jurisdiction, without prejudice to a party's ability to submit the grievance to a competent supranational adjudicatory body, if any.

The feedback and grievance redress procedure must be publicized and accessible to communities and other stakeholders. Grievances and project responses, including any redress, must be documented and made publicly available.

In addition, the project description states ""The grievance mechanism is clearly outlined in BCP's Human Resources (HR) Manual as well as our SOPs Concerning 1) Community Engagement; and 2) Social Monitoring. The formal process for handling grievances is clearly outlined in these documents which will be made available to the VVB.""

In review of the social monitoring SOP's (Appendix E_COM_SOP) the verification team noted that the document seems to only include information on designing the process, which is evident by the language included in the table provided on page 32 of Appendix E, ""Allow for "review and comment periods, for stakeholders to consider proposals and provide feedback, to be considered for inclusion in the Grievance Mechanism design.""

In review of the BCP HR manual, the verification team noted that, while some information is provided, the verification team does not agree that this meets the level of detail prescribed by the Standards, as no process for receiving, hearing, responding to and attempting to resolve grievances within a reasonable time period is described, nor is information provided in line with a three-stage resolution process.

Based on the information provided in the documents referenced in the project description, the project is not in conformance with the Standards.

Project Personnel Response: The text of this section of the PD has been updated for greater clarity and refers to additional documentation of grievances processes for employees and communities which have been added to the appendices.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 22 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.8

Document Reference: 20180701_CFP_PD 2.3.13

Finding: The CCB Standard states ""Demonstrate that a clear grievance redress procedure has been formalized to address disputes with communities and other stakeholders that may arise during project planning, implementation and evaluation with respect but not limited to, free, prior and informed consent, rights to lands, territories and resources, benefit sharing and participation. The project shall include a process for receiving, hearing, responding to and attempting to resolve grievances within a reasonable time period. The feedback and grievance redress procedure shall take into account traditional methods that communities and other stakeholders use to resolve conflicts. The feedback and grievance redress procedure shall have three stages with reasonable time limits for each of the following stages.

First, the project proponent shall attempt to amicably resolve all grievances and provide a written response to the grievances in a manner that is culturally appropriate.

Second, any grievances that are not resolved by amicable negotiations shall be referred to mediation by a neutral third party.

Third, any grievances that are not resolved through mediation shall be referred either to a) arbitration, to the extent allowed by the laws of the relevant jurisdiction or b) competent courts in the relevant jurisdiction, without prejudice to a party's ability to submit the grievance to a competent supranational adjudicatory body, if any.

The feedback and grievance redress procedure must be publicized and accessible to communities and other stakeholders. Grievances and project responses, including any redress, must be documented and made publicly available.

The joint project description template states ""Describe how the feedback and grievance redress procedure is publicized and accessible, and how grievances and project responses are documented and made publicly available.""

In addition, the project description states ""All stakeholders are made aware of grievance procedures at stakeholder meetings, the CFMAs (Appendix A) have a grievance procedure incorporated and feedback must be given to all grievances raised.

Whereas, the language included in the project description describes how the grievance procedure is publicized and made accessible, it is not clear from the language in the project description is how grievances and project responses are documented and made publicly available.

Project Personnel Response: The text of this section of the PD has been updated to provided the required information.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 23 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.10

Document Reference: 20180701_CFP_PD 2.3.15

Finding: The CCB Standard states ""Demonstrate that people from the communities are given an equal opportunity to fill all work positions (including management) if the job requirements are met. Explain how workers are selected for positions and where relevant, describe the measures needed and taken to ensure community members, including women and vulnerable and/or marginalized people, are given a fair chance to fill positions for which they can be trained.""

In addition, the project description states ""As stated, BCP adheres to all employment equity laws and make a point of employing local community members. Many of our staff members are from local communities. Job opportunities are widely advertised and publicized amongst local community members.""

In review of the project description the verification team was unable to locate an explanation of how workers are selected for positions or where relevant, a description of the measures needed and taken to ensure community members, including women and vulnerable and/or marginalized people, are given a fair chance to fill positions for which they can be trained.

Project Personnel Response: The description of the hiring process has been updated to show how vulnerable and marginalized people have a fair chance to fill positions.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 24 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G3.11

Document Reference: 20180701_CFP_PD 2.3.16

Finding: The CCB Standards state "Submit a list of all relevant laws and regulations covering worker's rights in the host country. Describe measures needed and taken to inform workers about their rights. Provide assurance that the project meets or exceeds all applicable laws and/or regulations covering worker rights and, where relevant, demonstrate how compliance is achieved.""

In review of the project description, the verification team noted that a list of laws regarding workers' rights has been provided and is consistent with the knowledge of the verification team. It is not clear from the respective section of the project description how the measures needed and taken to inform workers of their rights has been described.

Project Personnel Response: Information has been added showing how workers are informed of their rights.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 25 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G4.2

Document Reference: 20180701_CFP_PD 2.4.3

Finding: The CCB Standards state "Document key technical skills required to implement the project successfully, including community engagement, biodiversity assessment and carbon measurement and monitoring skills. Document the management team's expertise and prior experience implementing land management and carbon projects at the scale of this project. If relevant experience is lacking, the proponents must either demonstrate how other organizations are partnered with to support the project or have a recruitment strategy to fill the gaps.""
In review of the project description the verification team noted that the management team ""possesses X years of collective experience in the implementation of REDD+, conservation, and carbon-related activities."" Whereas, the verification team confirmed that the management team possesses the necessary skills to implement the project activities, it is unclear whether the document is using roman numerals, and this refers to ten years' experience or if this language contains a typo. If it is the former, please update the document to be consistent regarding the use of Roman numerals, otherwise update the document accordingly.

Project Personnel Response: This was a typo. The X has been replaced with a number.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 26 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G4.3

Document Reference: 20180701_CFP_PD 2.4.5

Finding: The CCB Standards state ""Document the financial health of the implementing organization(s). Provide assurance that the project proponent and any of the other entities involved in project design and implementation are not involved in or are not complicit in any form of corruption such as bribery, embezzlement, fraud, favoritism, cronyism, nepotism, extortion, and collusion, and describe any measures needed and taken to be able to provide this assurance.""
In review of the project description the verification team noted that the document references Appendix H. In review of Appendix H, the verification team noted that adequate information is provided regarding the LCFP project, however no information is providing describing the financial health of the organization(s) implementing the project. For example, the project has multiple implementing partners, including BCP, however the information provided only addresses costs and revenue associated with the LCF projects and does not include costs and revenues associated with other business ventures.

Project Personnel Response: The Financial Projections for LCFP and LZRP, the companies two main projects and source of revenue are now both included in Appendix H. Additionally, the LCFP projects show the funds that will flow to project partners during the course of the project, showing how they will be financially secure. CRBs have their own constitutions and can raise money in a number of different ways. However, they can and have operated on a skeleton budget. The financial flows from LCFP will represent a significant increase in their funding and will ensure they not only continue to exist as organizations, but also have funds to greatly increase their operations.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 27 Dated 19 Oct 2018

Standard Reference: VCS Standard v3.7 3.1.11

Document Reference: 20180701_CFP_PD 2.5.9

Finding: The VCS Standard states ""The project description shall be accompanied by one or more of the following types of evidence establishing project ownership accorded to the project proponent(s), or program ownership accorded to the jurisdictional proponent(s), as the case may be (see VCS document Program Definitions for definitions of project ownership and program ownership). To aid the readability of this section, the term project ownership is used below, but should be substituted by the term program ownership, as appropriate:

- 1) Project ownership arising or granted under statute, regulation or decree by a competent authority.
- 2) Project ownership arising under law.
- 3) Project ownership arising by virtue of a statutory, property or contractual right in the plant, equipment or process that generates GHG emission reductions and/or removals (where the project proponent has not been divested of such project ownership).
- 4) Project ownership arising by virtue of a statutory, property or contractual right in the land, vegetation or conservational or management process that generates GHG emission reductions and/or removals (where the project proponent has not been divested of such project ownership).
- 5) An enforceable and irrevocable agreement with the holder of the statutory, property or contractual right in the plant, equipment or process that generates GHG emission reductions and/or removals which vests project ownership in the project proponent.
- 6) An enforceable and irrevocable agreement with the holder of the statutory, property or contractual right in the land, vegetation or conservational or management process that generates GHG emission reductions or removals which vests project ownership in the project proponent.
- 7) Project ownership arising from the implementation or enforcement of laws, statutes or regulatory frameworks that require activities be undertaken or incentivize activities that generate GHG emission reductions or removals.""

In review of the project description, the verification team noted the following text ""BCP has project ownership through and enforceable and irrevocable agreement with the holder of the statutory, property or contractual right in the land, vegetation or conservational or management process that generates GHG emission reductions or removals which vests project ownership in the project proponent, namely the Community Forest Management Agreements (Appendix A).""

In addition, the verification team reviewed The Forests Act, 2015 for Zambia and noted the following text ""A community forest management group which intends to assign any or all its rights under a community forestry agreement shall apply to the Minister in the prescribed manner and form.""

During the site visit, the verification team were informed that the 'prescribed manner and form' for which the CFMA's applications were submitted was not followed and that the assignment of ownership rights is not currently in place. Whereas the verification team understands that ownership rights are specific to the GHG rights and no reporting of GHG emission reductions or removals is taking place during validation, the language in the project description states the BCP has the rights, which is not currently the case. Given the fact that ownership rights are not in place at this time, the project description is not in conformance with the standard.

Project Personnel Response: CFMAs were resubmitted for all but two CRBs. Those two are in process and it is expected that the process will be completed within 6 months. The text in the PD has been updated to accurately reflect the rights situation at the time of resubmitting the PD.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 28 Dated 19 Oct 2018

Standard Reference: CCB Standard v3.1 G5.9

Document Reference: 20180701_CFP_PD 2.5.10

Finding: The CCB Standard states ""Identify the tradable climate, community and biodiversity benefits of the project and specify how double counting is avoided, particularly for offsets sold on the voluntary market and generated in a country participating in a compliance mechanism. ""

In addition, the joint template states ""Indicate whether the project seeks to generate or has received any form of environmental or social credit, including any tradable climate (including, but not limited to GHG-related or renewable energy certificates), community or biodiversity unit. Include all relevant information about the environmental or social credit, the related program and how double counting is avoided.

List all other programs under which the project is eligible to participate to create another form of environmental or social credit.""

The project description does not 'List all other programs under which the project is eligible to participate to create another form of environmental or social credit and therefore is not in conformance with the standards.

Project Personnel Response: The text has been updated to say that the project is seeking credit under CCB and VCS and not only doesn't plan to participate in any other programs, but is also not aware of any other programs for which the project would be eligible.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 29 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180701_CFP_PD 2.5.12

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology in order to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

The joint template states the following:

""Indicate whether the project has sought or received another form of GHG-related environmental credit, including renewable energy certificates. Include all relevant information about the GHG-related environmental credit and the related program.

List all other programs under which the project is eligible to participate (to create another form of GHG-related environmental credit).""

Given that the project description does not 'List all other programs under which the project is eligible to participate (to create another form of GHG-related environmental credit),' the project is not in conformance at this time.

Project Personnel Response: The text has been updated to refer to section 2.5.10 where it says that the project is seeking credit under CCB and VCS and not only doesn't plan to participate in any other programs, but is also not aware of any other programs for which the project would be eligible.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 30 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.1.1

Document Reference: 20180701_CFP_PD Section unknown

Finding: The VM0015 methodology requires that "Three main criteria are relevant to demonstrate that the conditions determining the likelihood of deforestation within the project area are similar or expected to become similar to those found within the reference region...

Landscape configuration and ecological conditions: At least three of the following four conditions must be satisfied:

- Forest/vegetation classes: At least 90% of the project area must have forest classes or vegetation types that exist in at least 90% of the rest of the reference region.
- Elevation: At least 90% of the project area must be within the elevation range of at least 90% of the rest of the reference region.
- Slope: The average slope of at least 90% of the project area shall be within 10% of the average slope of at least 90% of the rest of the reference region.
- Rainfall: The average annual rainfall in at least 90% of the project area shall be within 10% of the average annual rainfall of at least 90% of the rest of the reference region."

In review of the project description, the verification team noted that only elevation has data provided for which a quantitative analysis may be undertaken. It is not apparent that the information provided in the project description provided evidence that the project area meets the requirements of the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 31 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.1.3

Document Reference: 20180701_CFP_PD Section unknown

Finding: The VM0015 methodology requires that ""Mobility analysis can always be used but must be used where Option I is not applicable, i.e. when less than 80% of the area deforested in the reference region (or some of its strata) during the historical reference period has occurred at locations where deforestation was profitable. With this option, the potential mobility of deforestation agents is assessed using multi-criteria analysis. The following methodology steps shall be applied:

- a) Using historical data, expert opinion, participative rural appraisal (PRA), literature and/or other verifiable sources of information list all relevant criteria that facilitate (at least one criterion) and constrain (at least one criterion) the mobility of the main deforestation agents identified in step 3. The overall suitability of the land for the activities of deforestation agents shall be considered.
- b) For each criterion, generate a map using a GIS.
- c) Using multi-criteria analysis, determine the boundary of the leakage belt. Justify any assumption and weight assigned to the individual criteria.
- d) Methods used to perform the analysis shall be transparently documented and presented to VCS verifiers at the validation.""

Given that the project does not contain a GIS map for each criterion the project is not in conformance with the methodology."

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 32 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.1.3

Document Reference: N/A

Finding: This finding is issued regarding the overlap of the LCFP project boundary with the COMACO project boundary and does not specifically regard the leakage belt. Information regarding the outcome of the areas of concern is requested upon resolution of the situation through working with VERRA.

Project Personnel Response: The conflict was resolved without difficulty. COMACO agreed to change the boundary to be 1 km back from the ranch boundary and for the leakage belt boundary to correspond with the ranch boundary. The new Luembe CCA and Luembe CCA Leakage belt shapefiles were shared with the validator by email.

Auditor Response: As a result of this finding, the verifiers focused on the ownership rights related to this area of the project and were able to confirm that the area in question was indeed under the ownership rights of Biocarbon Partners. Based on this, the verification team provided the ownership analysis to Verra and informed them of the overlapping leakage belt region. Guidance was provided by Verra for the two projects to work together to rectify the situation. Upon receiving evidence that the situation was corrected and that the COMACO project had adjusted their project area to excise the area not under their control. The information provided and the actions undertaken are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 33 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.1.4

Document Reference: 20180701_CFP_PD Section unknown

Finding: The VM0015 methodology states ""These are non-forest areas located outside the project boundary in which the project proponent intends to implement activities that will reduce the risk of activity displacement leakage, such as afforestation, reforestation or enhanced crop and grazing land management. The boundary of such areas must be defined according to existing management plans or other plans related to the proposed AUD project activity. Such plans shall be made available to the VCS Validation/Verification Body (VVB) at the time of validation. The boundary of leakage management areas must be clearly defined using the common projection and GIS software formats used in the project and shall be reassessed and validated at each fixed baseline period.""

During review of the project description, the verification team was unable to locate information regarding leakage management areas, included boundaries of leakage management areas using common projection GIS formats.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 34 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 1.1.5

Document Reference: 20180701_CFP_PD Section unknown

Finding: The VM0015 methodology states ""An initial Forest Cover Benchmark Map is required to report only gross deforestation going forward. It should depict the locations where forest land exists at the project start date. The baseline projections in step 4.2 will generate one such map for each future year of the fixed baseline period and, optionally, project crediting period.""

Given that no forest cover benchmark has been provided in the PD, the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 35 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 2.1

Document Reference: 20180701_CFP_PD Table 11

Finding: The VM0015 methodology states ""Collect the data that will be used to analyze land-use and land-cover change during the historical reference period within the reference region and project area. It is good practice to do this for at least three time points, about 3-5 years apart. For areas covered by intact forests, it is sufficient to collect data for one single date, which must be as close as possible to the project start date (< 2 years).""

In review of the project description, the verification team noted that the text in the corresponding section states that data from 2006, 2013, 2016, and 2017 were used, while table 11 only provides evidence for 2006 and 2016.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 36 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 2.2

Document Reference: 20180701_CFP_PD Table 12

Finding: The VM0015 methodology states ""If a forest class has predictably growing carbon stocks (i.e. the class is a secondary forest) and the class is located both in the project area and leakage belt, two different classes must be defined (see step 6.1 for explanations).""

Given that 'secondary forest' is present in both the project area and the leakage belt and different classes were not define for such, the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 37 Dated 19 Oct 2018**Standard Reference:** VM0015 Methodology Section 2.3**Document Reference:** 20180701_CFP_PD Table Unknown

Finding: The VM0015 methodology requires the project proponent to ""Identify all LU/LC-change categories that could occur within the project area and leakage belt during the project crediting period in both, the baseline and project case. This can be done by analyzing a land-use change matrix that combines all LU/LC-classes previously defined.

List the resulting LU/LC-change categories in table 7.a and 7.b: ""

The project description provided table 7b. as requires, however table 7a. is not included and therefore the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 38 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 2.4.3

Document Reference: 20180701_CFP_PD Unknown

Finding: The VM0015 methodology states the following:

""At the end of step 2, the following products should be prepared for the reference region and project area:

- a) A Forest Cover Benchmark Map for at least the most recent date (2 years from the project start date) and 10 (2) years20 prior to the project start date, showing only "forest" and "non-forest".
- b) A Land-Use and Land-Cover Map for at least the most recent date (2 years from the project start date) depicting the LU/LC-classes defined in step 2.2. If such a map cannot be generated at the levels of accuracy required by this methodology (see step 2.5), areas of the different LU/LC classes may be estimated by sampling techniques (e.g. by overlaying a grid of dots on the satellite image and then counting the points falling in each LU/LC-class, or by sampling the landscape with higher resolution images and then classifying the sampled images), or by using other sources of data, such as official statistical data on land-use (e.g. agricultural census data):
- c) A Deforestation Map for each sub-period analyzed, depicting at least the category "deforestation". Many projects will have some level of no-data areas because of cloud-cover. In this case change rates should be calculated for each time step based only on areas that were not cloud-obscured in either date in question. Then, a maximum possible forest cover map should be made for the most recent year (2 years from the project start date). The historical rate in % should be multiplied by the maximum forest cover area at the start of the period for estimating the total area of deforestation during the period.
- d) A Land-Use and Land-Cover Change Map for at least the most recent period analyzed (3-5 years) depicting the LU/LC-change categories defined in step 2.3. In most cases, this map will be prepared by combining the Deforestation Map of the most recent period (3-5 years) with the most recent Land-Use and Land-Cover Map. If the area of the LU/LC-classes was estimated using sampling techniques or other sources of information, a LU/LC-Change Map is not required.
- e) A Land-Use and Land-Cover Change Matrix for at least the most recent period analyzed, derived from the LU/LC-change map or the Deforestation Map and the post-deforestation land-use data mentioned above, showing activity data for each LU/LC-change category. See appendix 2, table 4 for an example of a LU/LC change matrix.""

In review of the project description the verification team noted a few maps but were not able to locate the items required in a-e of this section. Given the absence of these work products, the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 39 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 2.5

Document Reference: 20180701_CFP_PD Methodology Step 2.5

Finding: The VM0015 Methodology requires that ""A verifiable accuracy assessment of the maps produced in the previous step is necessary to produce a credible baseline.""

Given that accuracy assessments were not performed on all of the maps required in the previous step, the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 40 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 2.6

Document Reference: 20180701_CFP_PD Unknown

Finding: The VM0015 methodology states ""LU/LC-change analysis is an evolving field and will be performed several times during the project crediting period. A consistent time-series of LU/LC-change data must emerge from this process. In general, the same source of remotely sensed data and data analysis techniques must be used within a period for which the baseline is fixed (fixed baseline period). However, if remotely sensed data have become available from new and higher resolution sources (e.g. from a different sensor system) during this period, these can only be used if the images based on interpretation of the new data overlap the images based on interpretation of the old data by at least 1 year and they cross calibrate to acceptable levels based on commonly used methods in the remote sensing community. To achieve a consistent time-series, the risk of introducing artifacts from method change must be minimized. For this reason, the detailed methodological procedures used in pre-processing, classification, post classification processing, and accuracy assessment of the remotely sensed data, must be carefully documented in an Annex to the PD. The following information must be documented.

In review of the project description, the verification team noted that no methodological annex to the PD was created or provided and therefore the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 41 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 3.2

Document Reference: 20180701_CFP_PD Methodology Step 3.2

Finding: The VM0015 Methodology states ""...For each of these two sets of variables:

- 1) List the 1 to 5 key driver variables and provide any relevant source of information that provides evidence that the identified variables have been a driver for deforestation during the historical reference period.
- 2) Briefly describe for each main agent group identified in step 3.1 how the key driver variables have and will most likely impact on each agent group's decision to deforest.
- 3) For each identified key driver variable provide information about its likely future development, by providing any relevant source of information.
- 4) For each identified driver variable briefly describe the project measures that will be implemented to address them, if applicable.""

Whereas the information provided in the project description lists the drivers of deforestation, there is no evidence that the driver variables have been assessed and reported as described in the methodology and therefore is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 42 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 3.3

Document Reference: 20180701_CFP_PD Methodology Step 3.3

Finding: The VM0015 methodology states ""...1) List the 1 to 5 key underlying causes and cite any relevant source of information that provides evidence that the identified variables have been an underlying cause for deforestation during the historical reference period.

- 2) Briefly describe how each key underlying cause has determined and will most likely determine the key drivers identified in step 3.2 and the decisions of the main agent groups identified in step 3.1.
- 3) For each identified key underlying cause provide information about its likely future development, by citing any relevant source of information.
- 4) For each identified underlying cause describe the project measures that will be implemented to address them, if applicable.""

Whereas, the project description provides a list of key underlying causes and cites relevant sources of information that provide evidence that the identified variables have been an underlying cause for deforestation during the historical reference period, there is no evidence addressing items 2 and 4 of this section and is therefore not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 43 Dated 19 Oct 2018

Standard Reference: VT0001 Section 2.1.2 Substep 1b. a) ii)

Document Reference: 20180701_CFP_PD Methodology Substep 1b.

Finding: The additionality tool states the following:

""If an alternative does not comply with all mandatory applicable legislation and regulations then show that, based on an examination of current practice in the region in which the mandatory law or regulation applies, those applicable mandatory legal or regulatory requirements are systematically not enforced and that non-compliance with those requirements is widespread, i.e., prevalent on at least 30% of the area of the smallest administrative unit that encompasses the project area;""

While the project description states ""Due to systematic non-enforcement of legal requirements all the scenarios listed in Step1a are plausible and are an alternative to the proposed project activity."" there is no evidence of how project personnel determined illegal baseline activities meet the definition described in the additionality tool.

Project Personnel Response: The text has been updated to describe how more than 30% of GMA area (using the whole country as the smallest administrative unit) has been encroached by humans.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 44 Dated 19 Oct 2018

Standard Reference: VT0001 Section 2.2

Document Reference: 20180701_CFP_PD Methodology Step 2. Investment Analysis

Finding: The additionality tool requires the project proponent(s) to ""Determine whether the proposed project activity, without the revenue from the sale of GHG credits is economically or financially less attractive than at least one of the other land use scenarios. Investment analysis may be performed as a stand-alone additionality analysis or in connection to the Barrier analysis (Step 3). To conduct the investment analysis, use the following sub-steps.""

Whereas, the verification team reviewed financial documentation on site and agree that the project is not designed to generate financial benefits other than VCS related income, the additionality tool requires the project proponent to 'Determine whether the proposed project activity, without the revenue from the sale of GHG credits is economically or financially less attractive than at least one of the other land use scenarios', which has not been addressed in the project description.

Project Personnel Response: While the introductory text for section 2 of VT0001 says to demonstrate that the project activity is less financially attractive than at least one other land-use, the instructions also says "To conduct the investment analysis, use the following sub-steps." The project did this, which led the project to choose Option 1 - Apply simply cost analysis. In that analysis, if the project has no other source of income besides credits from GHG emissions, it is assumed to be less financially attractive in the absence of GHG emissions then the alternative land-use. Section 3.1.5 has been updated to make it more clear that the project followed the steps of section 2 of VT0001 and choose Option 1.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 45 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 4.2.1

Document Reference: 20180701_CFP_PD Methodology Step 4.2.2 Preparation of deforestation risk maps

Finding: The VM0015 methodology requires that:

""...a) Using historical data, expert opinion, participative rural appraisal (PRA), literature and/or other verifiable sources of information list all relevant criteria that facilitate (at least one criterion) and constrain (at least one criterion) the development of new unplanned infrastructure.

b) For each criterion, generate a map using a GIS.

c) Using multi-criteria analysis, determine the most likely rate of unplanned infrastructure development (e.g. km km⁻² yr⁻¹ or a similar indicator) per different sectors (suitability classes or gradients) within the reference region...

To create the Factor Maps use one of the following two approaches:

-Empirical approach: Categorize each Distance Map in a number of predefined distance classes (e.g. class 1 = distance between 0 and 50 m; class 2 = distance between 50 and 100 m, etc.). In a table describe the rule used to build classes and the deforestation likelihood assigned to each distance class. The deforestation likelihood is estimated as the percentage of pixels that were deforested during the period of analysis (i.e. the historical reference period).""

In review of the project description, the verification team were unable to locate the factor maps required from this section and therefore the project is not in conformance with the methodology.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 46 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Section 4.2.3

Document Reference: 20180701_CFP_PD Methodology Substep 4.2.3 Selection of the most accurate deforestation risk map

Finding: The VM0015 methodology states the following:

"Confirming the quality of the model output (generally referred to as model validation in the modeling community) is needed to determine which of the deforestation risk maps is the most accurate. A good practice to confirm a model output (such as a risk map) is "calibration and validation", referred to here as "calibration and confirmation" (so as not to be confused with validation as required by the VCS). Two options are available to perform this task: (a) calibration and confirmation using two historical subperiods; and (b) calibration and confirmation using tiles. Option (b) should be preferred where recent deforestation trends have been different from those in the more distant past.

a) Where two or more historical sub-periods have shown a similar deforestation trend, data from the most recent period can be used as the "confirmation" data set, and those from the previous period as the "calibration" data set.

Using only the data from the calibration period, prepare for each Risk Map a Prediction Map of the deforestation for the confirmation period. Overlay the predicted deforestation with locations that were actually deforested during the confirmation period. Select the Prediction Map with the best fit and identify the Risk Map that was used to produce it. Prepare the final Risk Map using the data from the calibration and the confirmation period.

b) Where only one historical sub-period is representative of what is likely to happen in the future, divide the reference region in tiles and randomly select half of the tiles for the calibration data set and the other half for the confirmation set. Do the analysis explained above (see CastilloSantiago et al., 2007)."

In review of the project description it is not transparent as to which option was employed by project personnel and does not allow for assessment by the reader.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 47 Dated 19 Oct 2018**Standard Reference:** VM0015 Methodology Section 4.2.3**Document Reference:** 20180701_CFP_PD Methodology Substep 4.2.3 Selection of the most accurate deforestation risk map

Finding: The VM0015 methodology states ""The Prediction Map with the best fit is the map that best reproduced actual deforestation in the confirmation period. The best fit must be assessed using appropriate statistical techniques. Most peer reviewed modeling tools, such as Geomod, Idrisi Taiga, Land Use Change Modeler, and Dinamica Ego, include in the software package appropriate assessment techniques, which can be used under this methodology. Preference should be given to techniques that assess the accuracy of the prediction at the polygon level, such as the predicted quantity of total deforestation within the project area as compared to the observed one.""

In review of the project description, it is unclear to how the prediction map with the best fit was selected.

Project Personnel Response: No longer applies due to switch to VM0009

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 48 Dated 19 Oct 2018

Standard Reference: VM0015 Methodology Table 11c

Document Reference: 20180701_CFP_PD Methodology Table 22

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology in order to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

All sections must be completed using Arial 10pt, black, regular (non-italic) font, unless deviations are merited. Where a section is not applicable, same must be stated under the section (the section must not be deleted from the final document).

All instructions, including this introductory text, must be deleted from the final document.""

In review of the project description, the verification team noted that table 22, while mostly consistent with table 11c of the methodology has the heading ABSLRR which refers to the reference region, rather than ABSLLK which regards the leakage belt.

Project Personnel Response: No longer applies due to switch to VM0009. Table was deleted

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 49 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180701_CFP_PD 3.3.3

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

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All instructions, including this introductory text, must be deleted from the final document.""

Section 3.3.3 of the joint template states ""Describe the process and schedule for obtaining, recording, compiling and analyzing the monitored data and parameters set out in Section 3.3.2 (Data and Parameters Monitored) above. Include details on the following:

- The methods for measuring, recording, storing, aggregating, collating and reporting data and parameters. Where relevant, include the procedures for calibrating monitoring equipment.
- The organizational structure, responsibilities and competencies of the personnel that will be carrying out monitoring activities.
- The policies for oversight and accountability of monitoring activities.
- The procedures for internal auditing and QA/QC.
- The procedures for handling non-conformances with the validated monitoring plan.
- Any sampling approaches used, including target precision levels, sample sizes, sample site locations, stratification, frequency of measurement and QA/QC procedures.

Where appropriate, include line diagrams to display the GHG data collection and management system.""

In review of the project description, the verification team was unable to locate evidence of bullets 3, 5, and 6 above. Should these bullets not be applicable to the project please state so, otherwise provide further justification for the exclusion of these items.

Project Personnel Response: This section has been overhauled due to the change to VM0009. In addition to more detail in the text, it also refers to monitoring protocols in Appendixes with more details addressing bullets 3, 5, and 6.

Auditor Response: As alluded to in the project response, the VM0015 was dropped in favor of the VCS VM0009 methodology, therefore nullifying this and all other findings related specifically to VM0015 methodology.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 50 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180701_CFP_PD 3.3.4

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

This template must be completed in accordance with both standards, and the preparer will need to refer to the relevant VCS and CCB Program documents and the methodology in order to complete the template. It is also expected that relevant guidance, as it relates to the project and methodology, is followed. Note that the instructions in this template are intended to serve as a guide and do not necessarily represent an exhaustive list of the information the preparer must provide under each section of the template.

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All instructions, including this introductory text, must be deleted from the final document.""

Section 3.3.4 of the joint template states ""Describe how the monitoring plan, and any results of monitoring undertaken in accordance with the monitoring plan, will be disseminated and made publicly available on the internet. Describe the means by which summaries (at minimum) of the monitoring plan and results will be communicated to the communities and other stakeholders.""

In review of the project description, the verification team noted that no information is provided regarding results of monitoring being made publicly available on the internet. and therefore, is not in conformance with the standard.

Project Personnel Response: Additional text added to this section explaining how the monitoring reports will be publically available on the VCS website.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 51 Dated 19 Oct 2018

Standard Reference: CCB Standards v3.1 CM1.2; B1.2

Document Reference: 20180701_CFP_PD HCV's

Finding: The CCB standards state ""Evaluate whether the project zone includes any of the following high conservation values (HCVs) related to community well-being⁹⁵ and describe the qualifying attributes for any identified HCVs: ""

During the site visit, it was brought to the attention of the verification team that some HCV's reported were located outside of the project zone. This was mainly focused on the adjacent national parks. Please review the HCV's reported in the project description and either remove those not residing in the project zone or adjust the project zone to include such areas.

Project Personnel Response: High conservation values outside of the project boundaries have been removed.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 52 Dated 19 Oct 2018

Standard Reference: CCB Standards v3.1 CM3.1-3

Document Reference: 20180701_CFP_PD 4.3.1-3

Finding: The CCB Standards state ""Project activities at least 'do no harm' to the well-being of other stakeholders.

Identify any potential positive and negative impacts that the project activities are likely to cause on the well-being of other stakeholders.

Describe the measures needed and taken to mitigate the negative well-being impacts on other stakeholders.

Demonstrate that the project activities do not result in net negative impacts on the well-being of other stakeholders. ""

In review of the project description, it is clear that project personnel have identified potential positive and negative impacts that the project activities are likely to cause, however there is no description of the measures needed and taken to mitigate the negative well-being impacts on other stakeholders, nor is there a demonstration that the project activities do not result in net negative impacts on the well-being of other stakeholders and therefore is not in conformance with the standards.

Project Personnel Response: Sections 4.3.1 - 4.3.3 have been updated to provide details showing how negative impacts will be mitigated and why there will be no net negative impacts on any stakeholders.

Auditor Response: The updates to the PD are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 53 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180630_LCFP_MR1 1.6

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

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All instructions, including this introductory text, must be deleted from the final document.""

Section 1.6 of the template states ""Indicate the project crediting period, specifying the day, month and year for the start and end dates and the total number of years.""

The project monitoring report does not include the total number of years in this section and therefore is not in conformance with the standard.

Project Personnel Response: This finding was addressed outside the cover of this workbook.

Auditor Response: The updates to the MR are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NIR 54 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180630_LCFP_MR1 1.10

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

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All instructions, including this introductory text, must be deleted from the final document.""

Section 1.10 of the template states ""Describe how the project contributes to achieving any nationally stated sustainable development priorities, including any provisions for monitoring and reporting same.""

In review of the project monitoring report, it is unclear where information is describing monitoring and reporting of sustainable development priorities.

Project Personnel Response: This finding was addressed outside the cover of this workbook.

Auditor Response: The updates to the MR are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):

NCR 55 Dated 19 Oct 2018

Standard Reference: VCS Standard 3.19.1

Document Reference: 20180630_LCFP_MR1 4.4

Finding: The VCS Standard states ""The project description describes the project's GHG emission reduction or removal activities. The project proponent shall use the VCS Project Description Template, VCS Joint Project Description & Monitoring Report Template, VCS & CCB Project Description Template, VCS+SOCIALCARBON Project Description Template or approved GHG program project description template where the project is registered under an approved GHG program, as appropriate, and adhere to all instructional text within the template.""

In addition, the joint project description template states ""PROJECT DESCRIPTION: Instructions for completing this template can be found under each section heading in grey or blue italicized text. The grey text represents guidance for the general, climate, community and biodiversity components of the project description that must follow CCB and VCS Program, rules and requirements. The blue text represents guidance for the carbon component of the project description that must follow VCS project-level requirements and the applied VCS methodology. Green text at the end of section headings is reference to specific sections of CCB Program documents from which the template heading corresponds and must not be removed from the document; unless otherwise noted, the references correspond to sections of the Climate, Community & Biodiversity Standards. References that begin with 'Rules' correspond to sections of the CCB Program Rules.

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All instructions, including this introductory text, must be deleted from the final document.""

Section 4.4 of the template states ""Quantify the net GHG emission reductions and removals, summarizing the key results using the table below. Specify breakdown of GHG emission reductions and removals by vintages where the intent is to issue each vintage separately in the VCS registry system.

For AFOLU projects, include quantification of the net change in carbon stocks. Also, state the non-permanence risk rating (as determined in the AFOLU non-permanence risk report) and calculate the total number of buffer credits that need to be deposited into the AFOLU pooled buffer account. Attach the non-permanence risk report as either an appendix or a separate document.""

Given that the monitoring report does not include quantification of net carbon stocks, the project is not in conformance with the standard.

Project Personnel Response: This finding was addressed outside the cover of this workbook.

Auditor Response: The updates to the MR are sufficient for resolving this issue.

Bearing on Material Misstatement or Conformance (M/C/NA):